

AlburyCity Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2014

AlburyCity Council

General Purpose Financial Statements

for the financial year ended 30 June 2014

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Overview

- (i) These financial statements are General Purpose Financial Statements and cover the consolidated o for AlburyCity Council.
- (ii) AlburyCity Council is a body politic of NSW, Australia - being constituted as a Local Government area by proclamation and is duly empowered by the Local Government Act (LGA) 1993 of NSW.

Council's Statutory Charter is detailed in Paragraph 8 of the LGA and includes giving Council;

- the ability to provide goods, services & facilities, and to carry out activities appropriate to the current & future needs of the local community and of the wider public,
- the responsibility for administering regulatory requirements under the LGA and
- a role in the management, improvement and development of the resources in the area.

A description of the nature of Council's operations and its principal activities are provided in Note 2(b).

- (iii) All figures presented in these financial statements are presented in Australian Currency.
 - (iv) These financial statements were authorised for issue by the Council on 27 October 2014. Council has the power to amend and reissue these financial statements.
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AlburyCity Council

General Purpose Financial Statements for the financial year ended 30 June 2014

Statement by Councillors and Management

made pursuant to Section 413(2)(c) of the Local Government Act 1993 (as amended)

The attached General Purpose Financial Statements have been prepared in accordance with:

- The Local Government Act 1993 (as amended) and the Regulations made thereunder,
- The Australian Accounting Standards and professional pronouncements, and
- The Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these Financial Statements:

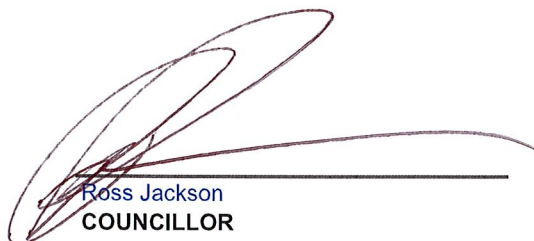
- present fairly the Council's operating result and financial position for the year, and
- accords with Council's accounting and other records.

We are not aware of any matter that would render the Reports false or misleading in any way.

Signed in accordance with a resolution of Council made on 27 October 2014.



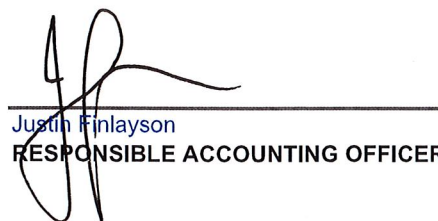
Kevin Mack
MAYOR



Ross Jackson
COUNCILLOR



Frank Zaknich
GENERAL MANAGER



Justin Finlayson
RESPONSIBLE ACCOUNTING OFFICER

AlburyCity Council

Income Statement

for the financial year ended 30 June 2014

Budget ¹ 2014	\$ '000	Notes	Actual 2014	Actual 2013
Income from Continuing Operations				
Revenue:				
53,309	Rates & Annual Charges	3a	53,508	48,963
35,330	User Charges & Fees	3b	37,188	36,388
1,638	Interest & Investment Revenue	3c	2,457	2,412
2,264	Other Revenues	3d	2,620	2,132
9,090	Grants & Contributions provided for Operating Purposes	3e,f	6,115	9,207
2,351	Grants & Contributions provided for Capital Purposes	3e,f	19,248	9,850
Other Income:				
601	Net gains from the disposal of assets	5	-	-
	Net Share of interests in Joint Ventures & Associated			
-	Entities using the equity method	19	30	15
104,583	Total Income from Continuing Operations		121,166	108,967
Expenses from Continuing Operations				
34,578	Employee Benefits & On-Costs	4a	33,231	32,173
3,946	Borrowing Costs	4b	3,535	3,968
23,424	Materials & Contracts	4c	22,846	22,664
25,703	Depreciation & Amortisation	4d	25,354	25,615
-	Impairment	4d	16	55
14,252	Other Expenses	4e	14,052	14,921
	Net Losses from the Disposal of Assets	5	1,642	191
101,903	Total Expenses from Continuing Operations		100,676	99,587
2,680	Operating Result from Continuing Operations		20,490	9,380
2,680	Net Operating Result for the Year		20,490	9,380
329	Net Operating Result for the year before Grants and Contributions provided for Capital Purposes		1,242	(470)

¹ Original Budget as approved by Council - refer Note 16

AlburyCity Council

Statement of Comprehensive Income

for the financial year ended 30 June 2014

\$ '000	Notes	Actual 2014	Actual 2013
Net Operating Result for the year (as per Income statement)		20,490	9,380
Other Comprehensive Income:			
Amounts which will not be reclassified subsequently to the Operating Result			
Gain (loss) on revaluation of I,PP&E	20b (ii)	109,948	25,551
Other Movements in reserves (Water Licence)	20b (ii)	-	22
Total Other Comprehensive Income for the year		109,948	25,573
Total Comprehensive Income for the Year		130,438	34,953
Total Comprehensive Income attributable to Council		130,438	34,953

AlburyCity Council

Statement of Financial Position
as at 30 June 2014

\$ '000	Notes	Actual 2014	Actual 2013
ASSETS			
Current Assets			
Cash & Cash Equivalents	6a	27,917	25,029
Investments	6b	28,426	15,122
Receivables	7	16,033	21,170
Inventories	8	4,966	4,995
Other	8	171	164
Total Current Assets		77,513	66,480
Non-Current Assets			
Receivables	7	5,220	312
Infrastructure, Property, Plant & Equipment	9	1,071,883	956,943
Investments accounted for using the equity method	19	976	1,119
Intangible Assets	25	1,845	1,845
Total Non-Current Assets		1,079,924	960,219
TOTAL ASSETS		1,157,437	1,026,699
LIABILITIES			
Current Liabilities			
Payables	10	9,927	9,317
Borrowings	10	3,078	2,927
Provisions	10	9,985	9,564
Total Current Liabilities		22,990	21,808
Non-Current Liabilities			
Borrowings	10	45,899	48,925
Provisions	10	8,388	6,244
Total Non-Current Liabilities		54,287	55,169
TOTAL LIABILITIES		77,277	76,977
Net Assets		1,080,160	949,722
EQUITY			
Retained Earnings	20	655,461	634,971
Revaluation Reserves	20	424,699	314,751
Total Equity		1,080,160	949,722

AlburyCity Council

Statement of Changes in Equity
for the financial year ended 30 June 2014

\$ '000	Notes	Retained Earnings	Reserves (Refer 20b)	Council Interest	Non-controlling Interest	Total Equity
2014						
Opening Balance (as per Last Year's Audited Accounts)		634,971	314,751	949,722	-	949,722
a. Correction of Prior Period Errors	20 (c)	-	-	-	-	-
b. Changes in Accounting Policies (prior year effects)	20 (d)	-	-	-	-	-
Revised Opening Balance (as at 1/7/13)		634,971	314,751	949,722	-	949,722
c. Net Operating Result for the Year		20,490	-	20,490	-	20,490
d. Other Comprehensive Income						
- Revaluations: IPP&E Asset Revaluation Reserve	20b (ii)	-	109,948	109,948	-	109,948
- Recognition of Landfill Rehabilitation Asset	20b (ii)	-	-	-	-	-
Other Comprehensive Income		-	109,948	109,948	-	109,948
Total Comprehensive Income (c&d)		20,490	109,948	130,438	-	130,438
Equity - Balance at end of the reporting period		655,461	424,699	1,080,160	-	1,080,160

\$ '000	Notes	Retained Earnings	Reserves (Refer 20b)	Council Interest	Non-controlling Interest	Total Equity
2013						
Opening Balance (as per Last Year's Audited Accounts)		625,591	289,178	914,769	-	914,769
Revised Opening Balance (as at 1/7/12)		625,591	289,178	914,769	-	914,769
c. Net Operating Result for the Year		9,380	-	9,380	-	9,380
d. Other Comprehensive Income						
- Revaluations : IPP&E Asset Revaluation Rsve	20b (ii)	-	25,551	25,551	-	25,551
- Other Movements (Water Licence)	20b (ii)	-	22	22	-	22
Other Comprehensive Income		-	25,573	25,573	-	25,573
Total Comprehensive Income (c&d)		9,380	25,573	34,953	-	34,953
Equity - Balance at end of the reporting period		634,971	314,751	949,722	-	949,722

AlburyCity Council

Statement of Cash Flows

for the financial year ended 30 June 2014

Budget 2014	\$ '000	Notes	Actual 2014	Actual 2013
Cash Flows from Operating Activities				
Receipts:				
53,309	Rates & Annual Charges		53,646	48,945
35,330	User Charges & Fees		39,152	36,269
1,638	Investment & Interest Revenue Received		1,751	1,768
11,441	Grants & Contributions		14,097	12,987
-	Bonds, Deposits & Retention amounts received		162	152
2,264	Other		5,890	5,364
Payments:				
(34,578)	Employee Benefits & On-Costs		(33,322)	(32,267)
(23,424)	Materials & Contracts		(25,609)	(25,652)
(3,946)	Borrowing Costs		(3,379)	(3,555)
(12,118)	Other		(14,218)	(14,135)
29,916	Net Cash provided (or used in) Operating Activities	11b	38,170	29,876
Cash Flows from Investing Activities				
Receipts:				
-	Sale of Investment Securities		457	2,995
603	Sale of Real Estate Assets		600	355
688	Sale of Infrastructure, Property, Plant & Equipment		357	541
-	Sale of Interests in Joint Ventures & Associates		-	82
284	Deferred Debtors Receipts		-	-
-	Distributions Received from Joint Ventures & Associates		173	-
Payments:				
-	Purchase of Investment Securities		(13,406)	-
(28,650)	Purchase of Infrastructure, Property, Plant & Equipment		(20,366)	(20,869)
-	Purchase of Real Estate Assets		(222)	(1,033)
(27,075)	Net Cash provided (or used in) Investing Activities		(32,407)	(17,929)
Cash Flows from Financing Activities				
Receipts:				
6,500	Proceeds from Borrowings & Advances		-	2,400
Payments:				
(3,477)	Repayment of Borrowings & Advances		(2,875)	(3,127)
3,023	Net Cash Flow provided (used in) Financing Activities		(2,875)	(727)
5,864	Net Increase/(Decrease) in Cash & Cash Equivalents		2,888	11,220
32,372	plus: Cash & Cash Equivalents - beginning of year	11a	25,029	13,809
38,236	Cash & Cash Equivalents - end of the year	11a	27,917	25,029

Please refer to Note 11 for information on the following:

- Non Cash Financing & Investing Activities.
- Financing Arrangements.
- Net cash flow disclosures relating to any Discontinued Operations

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

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Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

The principal accounting policies adopted by Council in the preparation of these consolidated financial statements are set out below in order to assist in its general understanding.

Under Australian Accounting Standards (AASBs), accounting policies are defined as those specific principles, bases, conventions, rules and practices applied by a reporting entity (in this case Council) in preparing and presenting its financial statements.

(a) Basis of preparation

(i) Background

These financial statements are general purpose financial statements which have been prepared in accordance with;

- Australian Accounting Standards and Australian Accounting Interpretations issued by the Australian Accounting Standards Board,
- the Local Government Act (1993) & Regulation, and
- the Local Government Code of Accounting Practice and Financial Reporting.

For the purpose of preparing these financial statements, Council has been deemed to be a not-for-profit entity.

(ii) Compliance with International Financial Reporting Standards (IFRSs)

Because AASBs are sector neutral, some standards either:

- (a) have local Australian content and prescription that is specific to the Not-For-Profit sector (including Local Government) which are not in compliance with IFRS's, or
- (b) specifically exclude application by Not for Profit entities.

Accordingly in preparing these financial statements and accompanying notes, Council has been unable to comply fully with International Accounting Standards, but has complied fully with Australian Accounting Standards.

Under the Local Government Act (LGA), Regulations and Local Government Code of Accounting Practice & Financial Reporting, it should be noted that Councils in NSW only have a requirement to comply with AASBs.

(iii) New and amended standards adopted by Council

During the current year, the following relevant standards became mandatory for Council and have been adopted:

- AASB 13 Fair Value Measurement
- AASB 119 Employee Benefits

AASB 13 Fair Value Measurement has not affected the assets or liabilities which are to be measured at fair value; however it provides detailed guidance on how to measure fair value in accordance with the accounting standards.

It introduces the concept of highest and best use for non-financial assets and has caused the Council to review their valuation methodology.

The level of disclosures regarding fair value has increased significantly and has been included in the financial statements at Note 27.

AASB 119 Employee Benefits introduced revised definitions for short-term employee benefits.

Whilst the Council has reviewed the annual leave liability to determine the level of annual leave which is expected to be paid more than 12 months after the end of the reporting period, there has been no material effect on the amounts disclosed as leave liabilities since Council's existing valuation policy was to discount annual leave payable more than 12 months after the end of the reporting period to present values.

(iv) Early adoption of Accounting Standards

Council has not elected to apply any pronouncements before their operative date in the annual reporting period beginning 1 July 2013.

(v) Basis of Accounting

These financial statements have been prepared under the **historical cost convention** except for:

Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

- (i) certain financial assets and liabilities at fair value through profit or loss and available-for-sale financial assets which are all valued at fair value,
- (ii) the write down of any Asset on the basis of Impairment (if warranted) and
- (iii) certain classes of non current assets (eg. Infrastructure, Property, Plant & Equipment) that are accounted for at fair valuation.

The accrual basis of accounting has also been applied in their preparation.

(vi) Changes in Accounting Policies

Council's accounting policies have been consistently applied to all the years presented, unless otherwise stated.

There have also been no changes in accounting policies when compared with previous financial statements unless otherwise stated [refer Note 20(d)].

(vii) Critical Accounting Estimates

The preparation of financial statements requires the use of certain critical accounting estimates (in conformity with AASBs).

Accordingly this requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are set out below:

- (i) Estimated landfill remediation provision, refer Note 1 (p).
- (ii) Estimated fair values of infrastructure, property, plant and equipment.
- (iii) Estimated carbon tax provision, refer Note 1 (x).

Critical judgements in applying Council's accounting policies

- (i) Impairment of Receivables - Council has made a significant judgement about the impairment of a number of its receivables in Note 7.
- (ii) Projected Section 94 Commitments - Council has used significant judgement in determining future Section 94 income and expenditure in Note 17.

(b) Revenue recognition

Council recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to it and specific criteria have been met for each of the Council's activities as described below.

Revenue is measured at the fair value of the consideration received or receivable.

Revenue is measured on major income categories as follows:

Rates, Annual Charges, Grants and Contributions

Rates, annual charges, grants and contributions (including developer contributions) are recognised as revenues when the Council obtains control over the assets comprising these receipts.

Control over assets acquired from rates and annual charges is obtained at the commencement of the rating year as it is an enforceable debt linked to the rateable property or, where earlier, upon receipt of the rates.

A provision for the impairment on rates receivables has not been established as unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold.

Control over granted assets is normally obtained upon their receipt (or acquittal) or upon earlier

Albury City Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

notification that a grant has been secured, and is valued at their fair value at the date of transfer.

Revenue from Contributions is recognised when the Council either obtains control of the contribution or the right to receive it, **(i)** it is probable that the economic benefits comprising the contribution will flow to the Council and **(ii)** the amount of the contribution can be measured reliably.

Where grants or contributions recognised as revenues during the financial year were obtained on condition that they be expended in a particular manner or used over a particular period and those conditions were undischarged at balance date, the unused grant or contribution is disclosed in Note 3(g).

Note 3(g) also discloses the amount of unused grant or contribution from prior years that was expended on Council's operations during the current year.

The Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of S94 of the EPA Act 1979.

Whilst Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon their physical receipt by Council, due to the possibility that individual Development Consents may not be acted upon by the applicant and accordingly would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required but the Council may apply contributions according to the priorities established in work schedules.

A detailed Note relating to developer contributions can be found at Note 17.

User Charges, Fees and Other Income

User charges, fees and other income (including parking fees and fines) are recognised as revenue when the service has been provided, the payment is received, or when the penalty has been applied, whichever first occurs.

A liability is recognised in respect of revenue that is reciprocal in nature to the extent that the requisite service has not been provided as at balance date.

Sale of Infrastructure, Property, Plant and Equipment

The profit or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer.

Interest and Rents

Rental income is accounted for on a straight-line basis over the lease term.

Interest Income from Cash & Investments is accounted for using the effective interest rate at the date that interest is earned.

Other Income

Other income is recorded when the payment is due, the value of the payment is notified or the payment is received, whichever occurs first.

(c) Principles of Consolidation

These financial statements incorporate **(i)** the assets and liabilities of Council and any entities (or operations) that it **controls** (as at 30 June 2014) and **(ii)** all the related operating results (for the financial year ended the 30th June 2014).

In the process of reporting on Council's activities as a single unit, all inter-entity year end balances and reporting period transactions have been eliminated in full between Council and its controlled entities.

(i) The Consolidated Fund

In accordance with the provisions of Section 409(1) of the LGA 1993, all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

The Consolidated Fund and other entities through which the Council controls resources to carry on its functions have been included in the financial statements forming part of this report.

The following entities have been included as part of the Consolidated Fund:

- General Purpose Operations
- Water Supply
- Sewerage Service

Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

Due to its immaterial value and nature, the Tabletop Community Centre Management Committee has been excluded from consolidation. Council has no other committees pursuant to s355 of the LGA 1993.

(ii) The Trust Fund

In accordance with the provisions of Section 411 of the Local Government Act 1993 (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the Council in trust which must be applied only for the purposes of or in accordance with the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these statements.

Trust monies and property held by Council but not subject to the control of Council, have been excluded from these statements.

A separate statement of monies held in the Trust Fund is available for inspection at the Council office by any person free of charge.

(iii) Associated Entities

The proportionate interests in the assets, liabilities and expenses of a Joint Venture Activity have been incorporated throughout the financial statements under the appropriate headings.

Where Council has the power to participate in the financial and operating decisions (of another entity), i.e. where Council is deemed to have "significant influence" over the other entities operations but neither controls nor jointly controls the entity, then Council accounts for such interests using the equity method of accounting – in a similar fashion to Joint Venture Entities & Partnerships.

Such entities are usually termed Associates.

Under the equity method, the share of the profits or losses of the partnership is recognised in the income statement, and the share of movements in retained earnings & reserves is recognised in the balance sheet.

Land holdings for the Thurgoona Industrial Estate Joint Venture were revalued at 30 June 2014 by Cosgraves Property Valuers which identified a decrease in value by \$122K; each party to the joint

venture has taken up an impairment in their accounts for their proportion of this reduction. AlburyCity has recognised an impairment of \$16K.

(iv) Additional Information

Note 19 provides more information in relation to Associated Entities.

(d) Leases

Operating Leases

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases.

Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

Lease income from operating leases is recognised in income on a straight-line basis over the lease term.

(e) Cash and Cash Equivalents

For Statement of Cash Flows (and Statement of Financial Position) presentation purposes, cash and cash equivalents includes;

- cash on hand,
- deposits held at call with financial institutions,
- other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and
- bank overdrafts.

Bank overdrafts are shown within borrowings in current liabilities on the balance sheet but are incorporated into Cash & Cash Equivalents for presentation of the Cash Flow Statement.

(f) Investments and Other Financial Assets

Council (in accordance with AASB 139) classifies each of its investments into one of the following categories for measurement purposes:

- financial assets at fair value through profit or loss,

Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

- loans and receivables, and
- held-to-maturity investments.

Each classification depends on the purpose/intention for which the investment was acquired & at the time it was acquired.

Management determines each Investment classification at the time of initial recognition and re-evaluates this designation at each reporting date.

(i) Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets that are “held for trading”.

A financial asset is classified in the “held for trading” category if it is acquired principally for the purpose of selling in the short term.

Assets in this category are primarily classified as current assets as they are primarily held for trading &/or are expected to be realised within 12 months of the balance sheet date.

(ii) Loans and receivables

Loans and receivables are non derivative financial assets with fixed or determinable payments that are not quoted in an active market.

They arise when the Council provides money, goods or services directly to a debtor with no intention (or in some cases ability) of selling the resulting receivable.

They are included in current assets, except for those with maturities greater than 12 months after the balance sheet date which are classified as non-current assets.

(iii) Held-to-maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Council's management has the positive intention and ability to hold to maturity.

In contrast to the “Loans & Receivables” classification, these investments are generally quoted in an active market.

Held-to-maturity financial assets are included in non-current assets, except for those with maturities less than 12 months from the reporting date, which are classified as current assets.

General Accounting & Measurement of Financial Instruments:

(i) Initial Recognition

Investments are initially recognised (and measured) at fair value, plus in the case of investments not at “fair value through profit or loss”, directly attributable transactions costs.

Purchases and sales of investments are recognised on trade-date - the date on which the Council commits to purchase or sell the asset.

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Council has transferred substantially all the risks and rewards of ownership.

(ii) Subsequent Measurement

Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method.

Realised and unrealised gains and losses arising from changes in the fair value of the financial assets classified as “fair value through profit or loss” category are included in the income statement in the period in which they arise.

Impairment

Council assesses at each balance date whether there is objective evidence that a financial asset or group of financial assets is impaired.

(iii) Types of Investments

Council has an approved Investment Policy in order to undertake its investment of money in accordance with (and to comply with) Section 625 of the Local Government Act and S212 of the LG (General) Regulation 2005.

Investments are placed and managed in accordance with the Policy and having particular regard to authorised investments prescribed under the Ministerial Local Government Investment Order.

Albury City Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

Council maintains its investment Policy in compliance with the Act and ensures that it or its representatives exercise care, diligence and skill that a prudent person would exercise in investing Council funds.

(g) Fair value estimation

The fair value of financial assets and financial liabilities must be estimated for recognition and measurement or for disclosure purposes.

The fair value of financial instruments traded in active markets is based on quoted market prices at the balance sheet date.

The fair value of financial instruments that are not traded in an active market is determined using valuation techniques.

Council uses a variety of methods and makes assumptions that are based on market conditions existing at each balance date.

If the market for a financial asset is not active (and for unlisted securities), the Council establishes fair value by using valuation techniques.

These include reference to the fair values of recent arm's length transactions, involving the same instruments or other instruments that are substantially the same, discounted cash flow analysis, and option pricing models refined to reflect the issuer's specific circumstances.

The nominal value less estimated credit adjustments of trade receivables and payables are assumed to approximate their fair values.

The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Council for similar financial instruments.

(h) Receivables

Receivables are initially recognised at fair value and subsequently measured at amortised cost, less any provision for impairment.

Receivables (excluding Rates & Annual Charges) are generally due for settlement no more than 30 days from the date of recognition.

The collectibility of receivables is reviewed on an ongoing basis. Debts which are known to be uncollectible are written off in accordance with Council's policy.

A provision for impairment (ie. an allowance account) relating to receivables is established when there is objective evidence that the Council will not be able to collect all amounts due according to the original terms of each receivable.

The amount of the provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the effective interest rate.

Impairment losses are recognised in the Income Statement within other expenses.

Subsequent recoveries of amounts previously written off are credited against other expenses in the income statement.

(i) Inventories

Raw Materials and Stores, Work in Progress and Finished Goods

Raw materials and stores, work in progress and finished goods in respect of business undertakings are all stated at the lower of cost and net realisable value.

Cost comprises direct materials, direct labour and an appropriate proportion of variable and fixed overhead expenditure, the latter being allocated on the basis of normal operating capacity.

Costs are assigned to individual items of inventory on the basis of weighted average costs.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Inventories held in respect of non-business undertakings have been valued at cost subject to adjustment for loss of service potential.

Land Held for Resale/Capitalisation of Borrowing Costs

Land held for resale is stated at the lower of cost and net realisable value.

Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development.

When development is completed borrowing costs and other holding charges are expensed as incurred.

(j) Infrastructure, Property, Plant and Equipment (I,PP&E)

Acquisition of assets

Council's non current assets are continually revalued (over a 5 year period) in accordance with the fair valuation policy as mandated by the Office of Local Government.

At balance date, the following classes of I,PP&E were stated at their Fair Value;

- **Water and Sewerage Networks**
(Internal Valuation)
- **Operational Land** (Internal Valuation)
- **Buildings – Specialised/Non Specialised**
(External Valuation)
- **Plant and Equipment**
(as approximated by depreciated historical cost)
- **Roads Assets incl. roads, bridges & footpaths**
(Internal Valuation)
- **Drainage Assets** (Internal Valuation)
- **Community Land** (External Valuation)
- **Land Improvements**
(as approximated by depreciated historical cost)
- **Other Structures**
(as approximated by depreciated historical cost)
- **Other Assets**
(as approximated by depreciated historical cost)

Initial Recognition

On initial recognition, an assets cost is measured at its fair value, plus all expenditure that is directly attributable to the acquisition.

Where infrastructure, property, plant and equipment assets are acquired for no cost or for an amount other than cost, the assets are recognised in the financial statements at their fair value at acquisition

date - being the amount that the asset could have been exchanged between knowledgeable willing parties in an arm's length transaction.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably.

All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Asset Revaluations (including Indexation)

In accounting for Asset Revaluations relating to Infrastructure, Property, Plant & Equipment:

- Increases in the combined carrying amounts of asset classes arising on revaluation are credited to the asset revaluation reserve.
- To the extent that a net asset class increase reverses a decrease previously recognised via the profit or loss, then increase is first recognised in profit or loss.
- Net decreases that reverse previous increases of the same asset class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the asset, with all other decreases charged to the Income statement.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided in the NSW Office of Water - Rates Reference Manual.

For all other assets, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date.

If any such indication exists, Council determines the asset's fair value and revalues the asset to that amount.

Full revaluations are undertaken for all assets on a 5 year cycle.

Albury City Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

Capitalisation Thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds \$5,000.

Depreciation

Depreciation on Council's infrastructure, property, plant and equipment assets is calculated using the straight line method in order to allocate an assets cost (net of residual values) over its estimated useful life.

Land is not depreciated.

Estimated useful lives for Council's I,PP&E include:

Plant & Equipment	
- Plant & Equipment	3 to 25 years
- Office Equipment	4 to 10 years
- Furniture & Fittings	10 to 31 years
Buildings	
- Buildings	13 to 60 years
Stormwater Drainage	
- Stormwater Drainage	100 to 120 years
Transportation Assets	
- Roads, bridges & footpaths	5 – 100 years
Water & Sewer Assets	
- Water supply network	20 to 120 years
- Sewerage network	20 to 100 years
Other Assets	
- Land Improvements	33 years
- Library Books	10 years
- Other assets	5 to 20 years
- Other Structures	10 to 30 years

All asset residual values and useful lives are reviewed and adjusted (if appropriate), at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount – refer Note 1(s) on Asset Impairment.

Disposal and De-recognition

An item of property, plant and equipment is derecognised upon disposal or when no further future economic benefits are expected from its use or disposal.

Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Council's Income Statement in the year the asset is derecognised.

(k) Land

Land (other than Land under Roads) is in accordance with Part 2 of Chapter 6 of the Local Government Act (1993) classified as either Operational or Community.

This classification of Land is disclosed in Note 9(a).

(l) Land under roads

Land under roads is land under roadways and road reserves including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

(m) Intangible Assets

Council's High Security Water Licence is recognised as an Intangible asset and is tradable on the open water licence sales market. The licence valuation is based on estimated market values as at balance date. No amortisation costs are applicable, as this asset has an indefinite life.

(n) Crown Reserves

Crown Reserves under Council's care and control are recognised as assets of the Council.

While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance

Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown Reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating the reserves are recognised within Council's Income Statement.

(o) Rural Fire Service assets

Under section 119 of the Rural Fires Act 1997, *"all fire fighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the fire fighting equipment has been purchased or constructed"*.

Until such time as discussions on this matter have concluded and the legislation changed, Council will continue to account for these assets as it has been doing in previous years, which is to exclude the assets, their values and depreciation charges from these financial statements.

(p) Provisions for reinstatement, rehabilitation, and restoration liabilities

The estimated net present value of future landfill reinstatement, rehabilitation and restoration costs are provided for in the period when the obligation arising from the related disturbance occurs.

Provisions for reinstatement, rehabilitation and restoration costs do not include any additional obligations which are expected to arise from future disturbance.

At each reporting date restoration costs are reassessed to reflect changes in cost estimates, revisions to the estimated lives of operations, discount rates and are subject to formal review at regular intervals.

Reinstatement, rehabilitation and restoration costs are a normal consequence of landfill operations, and the majority of close down and restoration expenditure is incurred at the end of the life of the operations.

Although the actual cost to be incurred is uncertain, Council estimates the respective costs based on studies using current restoration standards and techniques.

The amortisation or 'unwinding' of the discount applied in establishing the net present value of provisions is charged to the income statement in each accounting period. This amortisation of the discount is disclosed as a borrowing cost in Note 4(b).

Movements in the provisions for reinstatement, rehabilitation and restoration costs including those resulting from new disturbance, updated cost estimates, changes to the estimated useful lives of operations and revisions to discount rates are capitalised within property, plant and equipment. These costs are then depreciated over the lives of the assets to which they relate.

As noted above, the actual cost of reinstatement, rehabilitation and restoration is uncertain and cost estimates can vary in response to many factors including changes to the relevant legal requirements, and the emergence of new restoration techniques. The expected timing of expenditure can also change. As a result there could be significant adjustments to the provision for landfill reinstatement, rehabilitation and restoration, which would affect future financial results.

Specific Information relating to Council's provisions relating to reinstatement, rehabilitation and restoration costs can be found at Note 26.

(q) Impairment of assets

All Council's I,PP&E is subject to an annual assessment of impairment.

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

Where an asset is not held principally for cash generating purposes (for example Infrastructure Assets) and would be replaced if the Council was deprived of it then depreciated replacement cost is used as value in use, otherwise value in use is estimated by using a discounted cash flow model.

Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

Non-financial assets (other than goodwill) that suffered a prior period impairment are reviewed for possible reversal of the impairment at each reporting date.

Intangible Assets that have an indefinite useful life and are not subject to amortisation are tested annually for impairment.

(r) Payables

These amounts represent liabilities and include goods and services provided to the Council prior to the end of financial year which are unpaid.

The amounts for goods and services are unsecured and are usually paid within 30 days of recognition.

(s) Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred.

Borrowings are subsequently measured at amortised cost using the effective interest method.

Borrowings are removed from the balance sheet when the obligation specified in the contract is discharged, cancelled or expired.

Borrowings are classified as current liabilities unless the Council has an unconditional right to defer settlement of the liability for at least 12 months after the balance sheet date.

(t) Borrowing costs

Borrowing costs are expensed

(u) Provisions

Provisions are recognised when:

- Council has a present legal or constructive obligation as a result of past events;
- it is more likely than not that an outflow of resources will be required to settle the obligation; and
- the amount has been reliably estimated.

(v) Employee benefits

(i) Short Term Obligations

Short term employee benefit obligations include liabilities for wages and salaries (including non-monetary benefits), annual leave and vesting sick leave expected to be wholly settled within the 12 months after the reporting period.

Leave liabilities are recognised in the provision for employee benefits in respect of employees' services up to the reporting date with other short term employee benefit obligations disclosed under payables.

These provisions are measured at the amounts expected to be paid when the liabilities are settled.

All other short-term employee benefit obligations are presented as payables.

Liabilities for non vesting sick leave are recognised at the time when the leave is taken and measured at the rates paid or payable, and accordingly no Liability has been recognised in these reports.

Wages & salaries, annual leave and vesting sick leave are all classified as Current Liabilities.

(ii) Other Long Term Obligations

The liability for all long service and annual leave in respect of services provided by employees up to the reporting date (which is not expected to be wholly settled within the 12 months after the reporting period) are recognised in the provision for employee benefits.

These liabilities are measured at the present value of the expected future payments to be made using the projected unit credit method.

Consideration is given to expected future wage and salary levels, experience of employee departures and periods of service.

Expected future payments are then discounted using market yields at the reporting date based on national government bonds with terms to maturity and currency that match as closely as possible the estimated future cash outflows.

Due to the nature of when and how Long Service Leave can be taken, all Long Service Leave for

Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

employees with 4 or more years of service has been classified as Current, as it has been deemed that Council does not have the unconditional right to defer settlement beyond 12 months – even though it is not anticipated that all employees with more than 4 years service (as at reporting date) will apply for and take their leave entitlements in the next 12 months.

(iii) Retirement benefit obligations

All employees of the Council are entitled to benefits on retirement, disability or death.

Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Defined Benefit Plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named the “Local Government Superannuation Scheme – Pool B”.

This Scheme has been deemed to be a “multi employer fund” for the purposes of AASB 119.

Sufficient information is not available to account for the Scheme as a defined benefit plan (in accordance with AASB 119) because the assets to the scheme are pooled together for all Councils.

The last valuation the Actuary has estimated that as at 30 June 2014 a prior period deficit exists.

No liability for the deficiency has been recognised in these financial statements.

Council has, however, disclosed a contingent liability in Note 18 to reflect the possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

Defined Contribution Plans

Contributions to Defined Contribution Plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

(iv) Employee Benefit On-Costs

Council has recognised at year end the aggregate on-cost liabilities arising from employee benefits and in particular those on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include Superannuation and Workers Compensation expenses which will be payable upon the future payment of certain Leave Liabilities accrued as at 30 June 2014.

(w) Allocation between current and non-current assets & liabilities

In the determination of whether an asset or liability is classified as current or non-current, consideration is given to the time when each asset or liability is expected to be settled.

The asset or liability is classified as current if it is expected to be settled within the next 12 months, being the Council's operational cycle.

Exceptions

In the case of liabilities where Council does not have the unconditional right to defer settlement beyond 12 months (such as vested long service leave), the liability is classified as current even if not expected to be settled within the next 12 months.

In the case of inventories that are “held for trading”, these are also classified as current even if not expected to be realised in the next 12 months.

(x) Taxes

The Council is exempt from both Commonwealth Income Tax and Capital Gains Tax. Council does however have to comply with both Fringe Benefits Tax and Goods and Services Tax (GST).

Goods & Services Tax (GST)

Income, expenses and assets are all recognised net of the amount of GST, except where the amount of GST incurred is not recoverable from the Australian Tax Office (ATO).

Albury City Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

In these circumstances the GST is recognised as part of the cost of acquisition of the asset or as part of the revenue / expense.

Receivables and payables within the Balance Sheet are stated inclusive of any applicable GST.

The net amount of GST recoverable from or payable to the ATO is included as a current asset or current liability in the Balance Sheet.

Operating cash flows within the Cash Flow Statement are on a gross basis, ie. they are inclusive of GST where applicable.

Investing and Financing cash flows are treated on a net basis (where recoverable from the ATO), ie. they are exclusive of GST. Instead, the GST component of investing and financing activity cash flows which are recoverable from or payable to the ATO are classified as operating cash flows.

Commitments and contingencies are disclosed net of the amount of GST recoverable from (or payable to) the ATO.

Carbon Tax Provision

AlburyCity Council has been identified by the Clean Energy Regulator as a 'liable entity' under the Commonwealth Government's Clean Energy Act 2011 due to the operation of the Albury Waste Management Centre. A provision for carbon tax liability is recognised based on the estimated costs to discharge the carbon tax liability for waste collected from 1 July 2012 to 30 June 2014. The discharge of the carbon tax liability, will take place over a number of decades as the waste decomposes, therefore the cost to discharge the carbon tax liability has been discounted to present value.

At the reporting date significant uncertainty exists as to the amount of obligations which will be incurred, including but not limited to the impact of changes in legislative requirements, carbon market price volatility during the floating price period and the emergence of new carbon abatement techniques. The majority of the provision relating to the discharge of the carbon tax liability is recognised as non-current, with the amount to be paid relating to the 2013-14 financial year recognised as current.

At each reporting date the amounts required to discharge the carbon tax liability are assessed in line

with changes in discount rates, and the timing or amount of the costs expected to be incurred.

Unexpended fees collected to offset Council's carbon tax liability are held as an internally restricted asset, refer Note 6c.

Refer Note 23 Events occurring after the Reporting Period, regarding the repeal of the Clean Energy Act 2011 which occurred on 17 July 2014.

(y) New accounting standards and interpretations

Certain new (or amended) accounting standards and interpretations have been published that are not mandatory for reporting periods ending 30 June 2014.

Council has not adopted any of these standards early.

Council's assessment of the impact of these new standards and interpretations is set out below.

Applicable to Local Government with implications:

AASB 9 Financial Instruments, associated standards, AASB 2010-7 Amendments to Australian Accounting Standards arising from AASB 9 and AASB 2012-6 Amendments to Australian Accounting Standards – Mandatory Effective Date of AASB 9 and transitional disclosures and AASB 2013-9 Amendments to Australian Accounting Standards – Conceptual Framework, Materiality and Financial Instruments (effective from 1 January 2017)

AASB 9 Financial Instruments addresses the classification, measurement and de-recognition of financial assets and financial liabilities.

The standard is not applicable until 1 January 2015.

The Council has not yet fully assessed the impact on the reporting financial position and performance on adoption of AASB 9; however it is likely to have minimal financial impact but will have an impact on disclosure.

Albury City Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

Applicable to Local Government but no implications for Council;

AASB 2013-3 Amendments to AASB 136 Recoverable Amount Disclosures for Non-Financial Assets (effective for 30 June 2015 Financial Statements)

There are no changes to reported financial position or performance from AASB 2013 – 3; however additional disclosures may be required.

Applicable to Local Government but not relevant to Council at this stage;

AASB 10 Consolidated Financial Statements, AASB 11 Joint Arrangements, AASB 12 Disclosure of Interests in Other Entities, revised AASB 127 Separate Financial Statements and AASB 128 Investments in Associates and Joint Ventures and AASB 2011-7 Amendments to Australian Accounting Standards arising from the Consolidation and Joint Arrangements Standards (effective for 30 June 2015 Financial Statements for not-for-profit entities)

This suite of five new and amended standards address the accounting for joint arrangements, consolidated financial statements and associated disclosures.

AASB 10 replaces all of the guidance on control and consolidation in AASB 127 Consolidated and Separate Financial Statements, and Interpretation 12 Consolidation – Special Purpose Entities.

The core principle that a consolidated entity presents a parent and its subsidiaries as if they are a single economic entity remains unchanged, as do the mechanics of consolidation. However, the standard introduces a single definition of control that applies to all entities.

It focuses on the need to have both power and rights or exposure to variable returns.

Power is the current ability to direct the activities that significantly influence returns. Returns must vary and can be positive, negative or both.

Control exists when the investor can use its power to affect the amount of its returns.

There is also new guidance on participating and protective rights and on agent/principal relationships.

Council does not expect the new standard to have a significant impact on its composition.

AASB 11 introduces a principles based approach to accounting for joint arrangements.

The focus is no longer on the legal structure of joint arrangements, but rather on how rights and obligations are shared by the parties to the joint arrangement.

Based on the assessment of rights and obligations, a joint arrangement will be classified as either a joint operation or a joint venture.

Joint ventures are accounted for using the equity method, and the choice to proportionately consolidate will no longer be permitted.

Parties to a joint operation will account their share of revenues, expenses, assets and liabilities in much the same way as under the previous standard.

AASB 11 also provides guidance for parties that participate in joint arrangements but do not share joint control.

Council's investment in the joint venture partnership will be classified as a joint venture under the new rules.

As Council already applies the equity method in accounting for this investment, AASB 11 will not have any impact on the amounts recognised in its financial statements.

AASB 12 sets out the required disclosures for entities reporting under the two new standards, AASB 10 and AASB 11, and replaces the disclosure requirements currently found in AASB 127 and AASB 128.

Application of this standard by Council will not affect any of the amounts recognised in the financial statements, but will impact the type of information disclosed in relation to Council's investments.

Amendments to AASB 128 provide clarification that an entity continues to apply the equity method and does not remeasure its retained interest as part of ownership changes where a joint venture becomes an associate, and vice versa.

The amendments also introduce a "partial disposal" concept.

Albury City Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 1. Summary of Significant Accounting Policies

Council is still assessing the impact of these amendments.

Council does not expect to adopt the new standards before their operative date.

They would therefore be first applied in the financial statements for the annual reporting period ending 30 June 2015.

(z) Rounding of amounts

Unless otherwise indicated, amounts in the financial statements have been rounded off to the nearest thousand dollars.

(aa) Comparative Figures

To ensure comparability with the current reporting period's figures, some comparative period line items and amounts may have been reclassified or individually reported for the first time within these financial statements and/or the notes.

(ab) Disclaimer

Nothing contained within these statements may be taken to be an admission of any liability to any person under any circumstance.

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 2(a). Council Functions / Activities - Financial Information

Functions/Activities	Income, Expenses and Assets have been directly attributed to the following Functions / Activities. Details of these Functions/Activities are provided in Note 2(b).												
	Income from Continuing Operations			Expenses from Continuing Operations			Operating Result from Continuing Operations			Grants included in Income from Continuing Operations		Total Assets held (Current & Non-current)	
	Original Budget	Actual	Actual	Original Budget	Actual	Actual	Original Budget	Actual	Actual	Actual	Actual	Actual	Actual
	2014	2014	2013	2014	2014	2013	2014	2014	2013	2014	2013	2014	2013
Governance	-	-	-	690	589	593	(690)	(589)	(593)	-	155	-	-
Administration	1,341	46	(1,861)	10,191	7,482	11,532	(8,850)	(7,436)	(13,393)	129	83	185,228	164,398
Public Order & Safety	912	928	829	2,198	2,004	1,672	(1,286)	(1,076)	(843)	155	220	538	308
Health	109	129	115	277	282	266	(168)	(153)	(151)	-	-	-	-
Environment	14,577	15,694	13,800	14,975	15,383	14,172	(398)	311	(372)	523	133	153,682	93,917
Community Services & Education	3,123	3,587	3,092	4,461	4,406	4,670	(1,338)	(819)	(1,578)	319	370	30,865	29,942
Housing & Community Amenities	1,617	1,564	1,709	5,348	5,120	4,878	(3,731)	(3,556)	(3,169)	225	294	1,717	1,578
Water Supplies	12,362	15,539	14,546	10,308	11,698	10,601	2,054	3,841	3,945	158	158	224,166	212,887
Sewerage Services	16,287	19,919	17,203	12,563	13,391	11,982	3,724	6,528	5,221	158	160	195,269	179,254
Recreation & Culture	3,134	9,500	3,939	18,476	18,033	17,410	(15,342)	(8,533)	(13,471)	462	884	19,800	28,678
Mining, Manufacturing & Construction	805	1,102	833	5,465	5,306	5,266	(4,660)	(4,204)	(4,433)	-	30	-	-
Transport & Communication	8,580	13,444	13,849	14,789	14,776	14,339	(6,209)	(1,332)	(490)	928	826	341,017	310,472
Economic Affairs	748	782	510	2,162	2,206	1,950	(1,414)	(1,424)	(1,440)	60	39	4,179	4,146
Total Functions & Activities	63,595	82,234	68,564	101,903	100,676	99,331	(38,308)	(18,442)	(30,767)	3,117	3,352	1,156,461	1,025,580
Share of gains/(losses) in Associates & Joint Ventures (using the Equity Method)		30	15		-	-	-	30	15			976	1,119
General Purpose Income ¹	40,988	38,902	40,132			-	40,988	38,902	40,132	3,410	6,570		-
Operating Result from Continuing Operations	104,583	121,166	108,711	101,903	100,676	99,331	2,680	20,490	9,380	6,527	9,922	1,157,437	1,026,699

1. Includes: Rates & Annual Charges (incl. Ex-Gratia), Untied General Purpose Grants & Unrestricted Interest & Investment Income.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 2(b). Council Functions / Activities - Component Descriptions

Details relating to the Council's functions / activities as reported in Note 2(a) are as follows:

GOVERNANCE

Costs relating to the Council's role as a component of democratic government, including elections, members' fees and expenses, subscriptions to local authority associations, meetings of council and policy making committees, area representation and public disclosure and compliance.

ADMINISTRATION

Corporate Support and Other Support Services (not otherwise attributed to the listed functions / activities).

PUBLIC ORDER & SAFETY

Fire protection, animal control, beach control, enforcement of local government regulations, emergency services, other.

HEALTH

Inspection, immunisations, food control, health centres, other, administration.

ENVIRONMENT

Noxious plants and insect/vermin control, other environmental protection, solid waste management, street cleaning, drainage, stormwater management.

COMMUNITY SERVICES & EDUCATION

Administration, family day care, child care, youth services, other family and children, aged and disabled, migrant services, Aboriginal services, other community services, education.

HOUSING & COMMUNITY AMENITIES

Housing, town planning, street lighting, other sanitation and garbage, public cemeteries, public conveniences,

WATER SUPPLIES

SEWERAGE SERVICES

RECREATION & CULTURE

Public libraries, museums, art galleries, community centres, public halls, other cultural services, swimming pools, sporting grounds, parks and gardens (lakes), other sport and recreation.

FUEL & ENERGY - Gas Supplies

MINING, MANUFACTURING & CONSTRUCTION

Building control, abattoirs, quarries & pits, other.

TRANSPORT & COMMUNICATION

Urban roads, sealed rural roads, unsealed rural roads, bridges, footpaths, aerodromes, parking areas, bus shelters and services, water transport, RMS works, other.

ECONOMIC AFFAIRS

Camping areas, caravan parks, tourism and area promotion, industrial development promotion, saleyards and markets, real estate development, commercial nurseries, other business undertakings.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 3. Income from Continuing Operations

\$ '000	Notes	Actual 2014	Actual 2013
(a) Rates & Annual Charges			
Ordinary Rates			
Residential		24,086	22,593
Farmland		557	522
Business		9,189	8,711
Total Ordinary Rates		33,832	31,826
Special Rates			
Parking		457	442
Promotional Levy		137	132
Total Special Rates		594	574
Annual Charges (pursuant to s.496, s.496A, s.496B, s.501 & s.611)			
Domestic Waste Management Services		4,376	3,762
Stormwater Management Services		172	146
Water Supply Services		2,280	2,129
Sewerage Services		12,254	10,526
Total Annual Charges		19,082	16,563
TOTAL RATES & ANNUAL CHARGES		53,508	48,963

Council has used 2011 year valuations provided by the NSW Valuer General in calculating its rates.

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 3. Income from Continuing Operations (continued)

\$ '000	Notes	Actual 2014	Actual 2013
(b) User Charges & Fees			
Specific User Charges (per s.502 - Specific "actual use" charges)			
Water Supply Services		9,459	9,058
Sewerage Services		2,620	2,973
Drainage Services		433	550
Waste Management Services (non-domestic)		7,339	6,972
Total User Charges		19,851	19,553
Other User Charges & Fees			
(i) Fees & Charges - Statutory & Regulatory Functions (per s.608)			
Planning & Building Regulation		1,486	1,174
Private Works - Section 67		106	402
Section 603 Certificates		121	93
Total Fees & Charges - Statutory/Regulatory		1,713	1,669
(ii) Fees & Charges - Other (incl. General User Charges (per s.608)			
Aerodrome		5,929	5,963
Cemeteries		847	942
Child Care		2,063	2,013
Community Centres		1,942	2,036
Leaseback Fees - Council Vehicles		171	167
Sporting Ground Fees		193	200
Swimming Centres		125	121
Water Sales & Charges		951	844
Other (Carbon Tax)		2,515	2,108
Other		888	772
Total Fees & Charges - Other		15,624	15,166
TOTAL USER CHARGES & FEES		37,188	36,388

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 3. Income from Continuing Operations (continued)

\$ '000	Notes	Actual 2014	Actual 2013
(c) Interest & Investment Revenue (incl. losses)			
Interest & Dividends			
- Interest on Overdue Rates & Annual Charges (incl. Special Purpose Rates)		140	156
- Interest earned on Investments (interest & coupon payment income)		1,962	1,626
Fair Value Adjustments			
- Fair Valuation movements in Investments (at FV or Held for Trading)		355	630
<u>TOTAL INTEREST & INVESTMENT REVENUE</u>		<u>2,457</u>	<u>2,412</u>
Interest Revenue is attributable to:			
Unrestricted Investments/Financial Assets:			
Overdue Rates & Annual Charges (General Fund)		140	156
General Council Cash & Investments		1,479	1,536
Restricted Investments/Funds - External:			
Development Contributions			
- Section 94		60	50
- Section 64		114	41
Water Fund Operations		302	182
Sewerage Fund Operations		362	447
<u>Total Interest & Investment Revenue Recognised</u>		<u>2,457</u>	<u>2,412</u>
(d) Other Revenues			
Rental Income - Other Council Properties		598	591
Ex Gratia Rates		41	44
Fines - Parking		381	454
Fines - Other		141	29
Legal Fees Recovery - Rates & Charges		206	183
Sales - General		1,253	831
<u>TOTAL OTHER REVENUE</u>		<u>2,620</u>	<u>2,132</u>

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 3. Income from Continuing Operations (continued)

\$ '000	2014 Operating	2013 Operating	2014 Capital	2013 Capital
(e) Grants				
General Purpose (Untied)				
Financial Assistance - General Component	2,409	2,362	-	-
Financial Assistance - General paid in advance	-	2,651	-	-
Financial Assistance - Local Roads Component	619	545	-	-
Financial Assistance - Local Roads paid in advance		629		
Pensioners' Rates Subsidies - General Component	382	383	-	-
Total General Purpose	3,410	6,570	-	-

¹ The Financial Assistance Grant for 2013/14 reflects a one off reduction due to the fact that this grant is no longer being paid in advance by up to 50% as has occurred in previous years - it does not represent a loss of income but is instead a timing difference.

Specific Purpose

Pensioners' Rates Subsidies:

- Water	158	158	-	-
- Sewerage	158	160	-	-
- Domestic Waste Management	88	85	-	-
Community Centres	187	161	-	-
Employment & Training Programs	58	150	-	-
Heritage & Cultural	143	177	281	820
Street Lighting	156	156	-	-
Transport (Roads to Recovery)	73	73	624	618
Other	938	659	253	135
Total Specific Purpose	1,959	1,779	1,158	1,573
Total Grants	5,369	8,349	1,158	1,573

Grant Revenue is attributable to:

- Commonwealth Funding	3,036	6,195	213	1,314
- State Funding	2,333	1,674	877	134
- Other Funding	-	480	68	125
	5,369	8,349	1,158	1,573

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 3. Income from Continuing Operations (continued)

\$ '000	2014 Operating	2013 Operating	2014 Capital	2013 Capital
(f) Contributions				
Developer Contributions:				
(s93 & s94 - EP&A Act, s64 of the LGA):				
S 94 - Contributions towards amenities/services	-	-	1,787	547
S 64 - Water Supply Contributions	-	-	1,615	500
S 64 - Sewerage Service Contributions	-	-	2,460	1,101
Total Developer Contributions	17 -	-	5,862	2,148
Other Contributions:				
Dedications (other than by S94)(in-kind)	-	-	6,589	6,085
RMS Contributions (Regional Roads, Block Grant)	487	626	-	13
Recognition of Art Work (in-kind)	-	-	5,598	-
Other	259	232	41	31
Total Other Contributions	746	858	12,228	6,129
Total Contributions	746	858	18,090	8,277
TOTAL GRANTS & CONTRIBUTIONS	6,115	9,207	19,248	9,850

(g) Restrictions relating to Grants and Contributions

Certain grants & contributions are obtained by Council on condition that they be spent in a specified manner:

Unexpended at the Close of the Previous Reporting Period	3,121	2,498
add: Grants & contributions recognised in the current period but not yet spent:	4,706	2,925
less: Grants & contributions recognised in a previous reporting period now spent:	(2,299)	(2,302)
Net Increase (Decrease) in Restricted Assets during the Period	2,407	623
Unexpended and held as Restricted Assets	5,528	3,121
Comprising:		
- Specific Purpose Unexpended Grants	590	712
- Developer Contributions	4,938	2,409
	5,528	3,121

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 4. Expenses from Continuing Operations

\$ '000	Notes	Actual 2014	Actual 2013
(a) Employee Benefits & On-Costs			
Salaries and Wages		26,581	26,378
Travelling		106	106
Employee Leave Entitlements (ELE)		3,166	3,029
Superannuation - Defined Contribution Plans		2,579	2,459
Superannuation - Defined Benefit Plans		750	795
Workers' Compensation Insurance		828	268
Fringe Benefit Tax (FBT)		245	201
Payroll Tax		188	177
Training Costs (other than Salaries & Wages)		659	755
Total Employee Costs		35,102	34,168
less: Capitalised Costs		(1,871)	(1,995)
TOTAL EMPLOYEE COSTS EXPENSED		33,231	32,173
Number of "Equivalent Full Time" Employees at year end		453	460
(b) Borrowing Costs			
(i) Interest Bearing Liability Costs			
Interest on Loans		3,379	3,555
Total Interest Bearing Liability Costs		3,379	3,555
less: Capitalised Costs		-	-
Total Interest Bearing Liability Costs Expensed		3,379	3,555
(ii) Other Borrowing Costs			
- Amortisation of Remediation Provision Discount	26	156	413
Total Other Borrowing Costs		156	413
TOTAL BORROWING COSTS EXPENSED		3,535	3,968

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 4. Expenses from Continuing Operations (continued)

\$ '000	Notes	Actual 2014	Actual 2013
(c) Materials & Contracts			
Raw Materials & Consumables		12,644	12,431
Contractor & Consultancy Costs		8,150	8,089
Auditors Remuneration ⁽¹⁾		56	54
Legal Expenses:			
- Legal Expenses: Planning & Development		49	18
- Legal Expenses: Other		264	198
Operating Leases:			
- Operating Lease Rentals: Minimum Lease Payments ⁽²⁾		473	492
Other (Internal Audit)		54	45
Other		1,156	1,337
Total Materials & Contracts		22,846	22,664
TOTAL MATERIALS & CONTRACTS		22,846	22,664

1. Auditor Remuneration

During the year, the following fees were incurred for services provided by the Council's Auditor

(i) Audit and Other Assurance Services

- Audit & review of financial statements: Council's Auditor	56	54
Remuneration for audit and other assurance services	56	54
Total Auditor Remuneration	56	54

2. Operating Lease Payments are attributable to:

Buildings	56	55
Computers	417	437
	473	492

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 4. Expenses from Continuing Operations (continued)

\$ '000	Notes	Impairment Costs		Depreciation/Amortisation	
		Actual 2014	Actual 2013	Actual 2014	Actual 2013
(d) Depreciation, Amortisation & Impairment					
Plant and Equipment		-	-	676	1,459
Office Equipment		-	-	353	327
Furniture & Fittings		-	-	317	336
Land Improvements (depreciable)		-	-	899	852
Buildings - Non Specialised		-	-	4,305	4,200
Other Structures		-	-	396	382
Infrastructure:					
- Roads, Bridges & Footpaths		-	-	7,873	7,599
- Stormwater Drainage		-	-	1,208	1,146
- Water Supply Network		-	-	5,530	5,381
- Sewerage Network		-	-	3,583	3,719
Other Assets					
- Library Books		-	-	168	168
- Other		-	-	21	21
Joint Ventures/Associated Entities		16	55	-	-
Asset Remediation Costs	9 & 26	-	-	25	25
Total Depreciation & Impairment Costs		16	55	25,354	25,615
TOTAL DEPRECIATION & IMPAIRMENT COSTS EXPENSED		16	55	25,354	25,615

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 4. Expenses from Continuing Operations (continued)

\$ '000	Notes	Actual 2014	Actual 2013
(e) Other Expenses			
Other Expenses for the year include the following:			
Advertising		265	320
Bad & Doubtful Debts		132	246
Contributions/Levies to Other Levels of Government			
- NSW Fire Brigade Levy		409	400
- NSW Rural Fire Service Levy		158	237
- Other Contributions/Levies		29	66
Councillor Expenses - Mayoral Fee		46	52
Councillor Expenses - Councillors' Fees		157	150
Councillors' Expenses (incl. Mayor) - Other (excluding fees above)		19	26
Conferences & Seminars		111	122
Donations, Contributions & Assistance to other organisations (Section 356)		744	796
Election Expenses		62	(87)
Electricity & Heating		5,137	5,774
Equipment Purchases		349	505
Insurance		1,070	1,013
Marketing		467	566
Rent & Hire Charges		335	226
Street Lighting		1,306	1,283
Subscriptions & Publications		190	215
Telephone & Communications		214	284
Carbon Tax		2,845	2,108
Other		7	619
Total Other Expenses		14,052	14,921
TOTAL OTHER EXPENSES		14,052	14,921

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 5. Gains or Losses from the Disposal of Assets

\$ '000	Notes	Actual 2014	Actual 2013
Plant & Equipment			
Proceeds from Disposal - Plant & Equipment		357	541
less: Carrying Amount of P&E Assets Sold / Written Off		(239)	(378)
Net Gain/(Loss) on Disposal		118	163
Infrastructure			
Proceeds from Disposal - Infrastructure		-	-
less: Carrying Amount of Infrastructure Assets Sold / Written Off		(1,943)	(599)
Net Gain/(Loss) on Disposal		(1,943)	(599)
Real Estate Assets Held For Sale			
Proceeds from Disposal - Real Estate Assets		600	355
less: Carrying Amount of Real Estate Assets Sold / Written Off		(417)	(110)
Net Gain/(Loss) on Disposal		183	245
Financial Assets*			
Proceeds from Disposal / Redemptions / Maturities - Financial Assets		457	2,995
less: Carrying Amount of Financial Assets Sold / Redeemed / Matured		(457)	(2,995)
Net Gain/(Loss) on Disposal		-	-
NET GAIN/(LOSS) ON DISPOSAL OF ASSETS		(1,642)	(191)
* Financial Assets disposals / redemptions include:			
- Net Gain/(Loss) from Financial Instruments "At Fair Value through profit & loss"		(355)	(630)
Net Gain/(Loss) on Disposal of Financial Instruments		(355)	(630)

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 6a. - Cash Assets and Note 6b. - Investments

\$ '000	Notes	2014 Actual Current	2014 Actual Non Current	2013 Actual Current	2013 Actual Non Current
Cash & Cash Equivalents (Note 6a)					
Cash on Hand and at Bank		3,028	-	941	-
Cash-Equivalent Assets ¹					
- Short Term Deposits		24,889	-	24,088	-
Total Cash & Cash Equivalents		27,917	-	25,029	-
Investments (Note 6b)					
- Term Deposits		28,426	-	15,020	-
- CDO's		-	-	102	-
Total Investments		28,426	-	15,122	-
TOTAL CASH ASSETS, CASH EQUIVALENTS & INVESTMENTS		56,343	-	40,151	-

¹ Those Investments where time to maturity (from date of purchase) is < 3 mths.

**Cash, Cash Equivalents & Investments were
classified at year end in accordance with
AASB 139 as follows:**

Cash & Cash Equivalents					
a. "At Fair Value through the Profit & Loss"		27,917	-	25,029	-
Investments					
a. "At Fair Value through the Profit & Loss"					
- "Held for Trading"	6(b-i)	-	-	102	-
c. "Loans & Receivables"	6(b-iii)	28,426	-	15,020	-
Investments		28,426	-	15,122	-

Note 6(b-i)

Reconciliation of Investments classified as "At Fair Value through the Profit & Loss"

Balance at the Beginning of the Year	102	-	-	2,467
Revaluations (through the Income Statement)	355	-	630	-
Disposals (sales & redemptions)	(457)	-	(2,995)	-
Transfers between Current/Non Current	-	-	102	(102)
Transfers from/(to) "At Fair Value through the Profit & Loss"	-	-	2,365	(2,365)
Balance at End of Year	-	-	102	-
Comprising:				
- CDO's	-	-	102	-
Total	-	-	102	-

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 6c. Restricted Cash, Cash Equivalents & Investments - Details

\$ '000	2014	2014	2013	2013
	Actual Current	Actual Non Current	Actual Current	Actual Non Current
Total Cash, Cash Equivalents and Investments	56,343	-	40,151	-
attributable to:				
External Restrictions (refer below)	25,677	-	12,488	-
Internal Restrictions (refer below)	11,827	-	8,752	-
Unrestricted	18,839	-	18,911	-
	56,343	-	40,151	-

2014	Opening	Transfers to	Transfers from	Closing
\$ '000	Balance	Restrictions	Restrictions	Balance

Details of Restrictions

External Restrictions - Included in Liabilities

Nil

External Restrictions - Other

Developer Contributions - General	(D)	1,317	3,904	(3,507)	1,714
Developer Contributions - Water Fund	(D)	133	590	-	723
Developer Contributions - Sewer Fund	(D)	959	1,542	-	2,501
Specific Purpose Unexpended Grants	(F)	712	591	(712)	590
Water Supplies	(G)	3,068	6,664	-	9,732
Sewerage Services	(G)	6,292	3,819	-	10,111
Domestic Waste Management	(G)	-	306	-	306
Other		7	-	(7)	-
External Restrictions - Other		12,488	17,416	(4,226)	25,677
Total External Restrictions		12,488	17,416	(4,226)	25,677

D Development contributions which are not yet expended for the provision of services and amenities in accordance with contributions plans (refer Note 17).

F Grants which are not yet expended for the purposes for which the grants were obtained. (refer Note 1)

G Water, Sewerage, Domestic Waste Management (DWM) & other Special Rates/Levies/Charges are externally restricted assets and must be applied for the purposes for which they were raised.

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 6c. Restricted Cash, Cash Equivalents & Investments - Details (continued)

2014 \$ '000	Opening Balance	Transfers to Restrictions	Transfers from Restrictions	Closing Balance
Internal Restrictions				
Employees Leave Entitlement	2,254	21	-	2,275
Deposits, Retentions & Bonds	804	140	-	944
Other (Prepaid Burial Contributions)	1,122	132	-	1,254
Other (Elections)	51	62	-	113
Other (Landfill Remediation)	1,594	116	-	1,710
Other (Tabletop Community Centre)	4	-	-	4
Other (Community Fund)	548	184	-	732
Other (Carbon Tax)	2,375	2,420	-	4,795
Total Internal Restrictions	8,752	3,075	-	11,827
TOTAL RESTRICTIONS	21,240	20,491	(4,226)	37,504

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 7. Receivables

\$ '000	Notes	2014		2013	
		Current	Non Current	Current	Non Current
Purpose					
Rates & Annual Charges		1,051	-	1,189	-
User Charges & Fees		12,851	-	12,801	-
Private Works		-	-	32	-
Accrued Revenues					
- Interest on Investments		497	-	146	-
- Other Income Accruals		707	-	1,040	-
Government Grants & Subsidies		559	-	561	-
Other Debtors (Multi Deck Carpark)		-	5,220	-	-
Other Debtors		669	-	5,545	426
Total		16,334	5,220	21,314	426
less: Provision for Impairment					
User Charges & Fees		(301)	-	(144)	(114)
Total Provision for Impairment - Receivables		(301)	-	(144)	(114)
<u>TOTAL NET RECEIVABLES</u>		<u>16,033</u>	<u>5,220</u>	<u>21,170</u>	<u>312</u>
Externally Restricted Receivables					
Water Supply					
- Specific Purpose Grants		158	-	154	-
- Rates & Availability Charges		1	-	2	-
- Other		4,781	-	4,987	-
Sewerage Services					
- Specific Purpose Grants		158	-	156	-
- Rates & Availability Charges		7	-	8	-
- Other		5,727	-	5,593	-
Total External Restrictions		10,832	-	10,900	-
Unrestricted Receivables		5,201	5,220	10,270	312
TOTAL NET RECEIVABLES		16,033	5,220	21,170	312

Notes on Debtors above:

- (i) Rates & Annual Charges Outstanding are secured against the property.
- (ii) Doubtful Rates Debtors are provided for where the value of the property is less than the debt outstanding.
An allowance for other doubtful debts is made when there is objective evidence that a receivable is impaired.
- (iii) Interest was charged on overdue rates & charges at 9.00% (2013 10.00%).
Generally all other receivables are non interest bearing.
- (iv) Please refer to Note 15 for issues concerning Credit Risk and Fair Value disclosures.

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 8. Inventories & Other Assets

\$ '000	Notes	2014		2013	
		Current	Non Current	Current	Non Current
Inventories					
Real Estate for resale (refer below)		4,179	-	4,374	-
Stores & Materials		600	-	605	-
Other		187	-	16	-
Total Inventories		4,966	-	4,995	-
Other Assets					
Prepayments		171	-	164	-
Total Other Assets		171	-	164	-
TOTAL INVENTORIES / OTHER ASSETS		5,137	-	5,159	-
Externally Restricted Assets					
Water					
Stores & Materials		308	-	292	-
Total Water		308	-	292	-
Sewerage					
Stores & Materials		38	-	16	-
Total Sewerage		38	-	16	-
Total Externally Restricted Assets		346	-	308	-
Total Unrestricted Assets		4,791	-	4,851	-
TOTAL INVENTORIES & OTHER ASSETS		5,137	-	5,159	-

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 8. Inventories & Other Assets (continued)

\$ '000	2014		2013	
	Current	Non Current	Current	Non Current
(i) Other Disclosures				
(a) Details for Real Estate Development				
Residential	768	-	768	-
Industrial/Commercial	3,411	-	3,606	-
Total Real Estate for Resale	4,179	-	4,374	-
(Valued at the lower of cost and net realisable value)				
Represented by:				
Acquisition Costs	3,581	-	3,776	-
Development Costs	598	-	598	-
Total Costs	4,179	-	4,374	-
less: Provision for Under Recovery	-	-	-	-
Total Real Estate for Resale	4,179	-	4,374	-
Movements:				
Real Estate assets at beginning of the year	4,374	-	3,451	-
- Purchases and other costs	222	-	1,033	-
- WDV of Sales (exp)	(417)	-	(110)	-
Total Real Estate for Resale	4,179	-	4,374	-

(b) Current Assets not anticipated to be settled within the next 12 months

The following Inventories & Other Assets, even though classified as current are not expected to be recovered in the next 12 months;

	2014	2013
Real Estate for Resale	4,033	4,145
	4,033	4,145

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 9a. Infrastructure, Property, Plant & Equipment

\$ '000	as at 30/6/2013					Asset Movements during the Reporting Period							as at 30/6/2014				
	At Cost	At Fair Value	Accumulated		Carrying Value	Asset Additions	WDV of Asset Disposals	Depreciation Expense	WIP Transfers	Adjustments & Transfers	Recognition of Assets*	Revaluation Increments to Equity (ARR)	At Cost	At Fair Value	Accumulated		Carrying Value
			Dep'n	Impairment											Dep'n	Impairment	
Capital Work in Progress	8,089	-	-	-	8,089	5,793	-	-	(5,964)	-	-	-	7,918	-	-	-	7,918
Plant & Equipment	-	20,803	14,860	-	5,943	1,405	(239)	(676)	-	-	-	-	-	20,995	14,562	-	6,433
Office Equipment	-	5,495	3,830	-	1,665	75	-	(353)	141	(2)	-	-	-	5,709	4,183	-	1,526
Furniture & Fittings	-	4,330	2,288	-	2,042	-	-	(317)	-	-	-	-	-	4,329	2,604	-	1,725
Land:																	
- Operational Land	-	35,947	-	-	35,947	-	-	-	-	-	-	523	-	36,470	-	-	36,470
- Community Land	-	30,744	-	-	30,744	-	-	-	-	-	-	461	-	31,205	-	-	31,205
- Land under Roads (post 30/6/08)	-	147	-	-	147	-	-	-	-	-	-	-	-	147	-	-	147
Land Improvements - non depreciable	-	747	-	-	747	878	-	-	-	-	-	-	-	1,625	-	-	1,625
Land Improvements - depreciable	-	32,139	12,789	-	19,350	2,951	-	(899)	4,777	-	-	-	-	37,218	11,039	-	26,179
Buildings	-	166,526	75,603	-	90,923	734	(1,773)	(4,305)	158	-	-	1,658	-	164,810	77,415	-	87,395
Other Structures	-	7,457	2,577	-	4,880	59	-	(396)	19	-	-	-	-	7,535	2,973	-	4,562
Infrastructure:																	
- Roads, Bridges & Footpaths	-	520,125	213,544	-	306,581	8,037	(148)	(7,873)	499	(44)	-	31,296	-	544,021	205,673	-	338,348
- Stormwater Drainage	-	121,130	31,650	-	89,480	1,971	(23)	(1,208)	-	44	-	58,276	-	192,766	44,226	-	148,540
- Water Supply Network	-	370,388	170,004	-	200,384	2,367	(19)	(5,530)	64	-	-	7,359	-	385,276	180,651	-	204,625
- Sewerage Network	-	301,061	144,308	-	156,753	3,018	(49)	(3,583)	296	78	-	10,375	-	311,794	144,906	-	166,888
Other Assets:																	
- Library Books	-	2,218	923	-	1,295	167	-	(168)	-	-	-	-	-	2,385	1,091	-	1,294
- Other	-	3,808	2,621	-	1,187	48	-	(21)	-	1	5,598	-	-	9,454	2,641	-	6,813
Reinstatement, Rehabilitation & Restoration Assets (refer Note 26):																	
- Landfill Assets	-	1,621	835	-	786	-	-	(25)	-	(571)	-	-	-	1,050	860	-	190
TOTAL INFRASTRUCTURE, PROPERTY, PLANT & EQUIP.	8,089	1,624,686	675,832	-	956,943	27,503	(2,251)	(25,354)	(10)	(494)	5,598	109,948	7,918	1,756,789	692,824	-	1,071,883

Additions to Buildings & Infrastructure Assets are made up of Asset Renewals (\$19,609) and New Assets (\$3,463) includes infrastructure additions in Capital Work in Progress.

*This includes art works previously donated to the Albury Regional Art Gallery to the income statement.

"Asset Additions" includes in-kind infrastructure dedications to the value of \$6,589 (Note 3f)

Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

Refer to Note 27 - Fair Value Measurement for information regarding the fair value of other Infrastructure, Property, Plant & Equipment.

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 9b. Externally Restricted Infrastructure, Property, Plant & Equipment

\$ '000

Class of Asset	Actual 2014				Actual 2013			
	At Cost	At Fair Value	A/Dep & Impairm't	Carrying Value	At Cost	At Fair Value	A/Dep & Impairm't	Carrying Value
Water Supply								
WIP	315			315	279	-	-	279
Plant & Equipment		454	454	-	-	454	454	-
Office Equipment		9	9	-	-	9	9	-
Land								
- Operational Land		1,137		1,137	-	1,121	-	1,121
- Community Land		447		447	-	441	-	441
Buildings		1,106	840	266	-	1,085	782	303
Infrastructure		385,276	180,651	204,625	-	370,388	170,004	200,384
Total Water Supply	315	388,429	181,954	206,790	279	373,498	171,249	202,528
Sewerage Services								
WIP	1,950	-	-	1,950	1,662	-	-	1,662
Plant & Equipment	-	95	76	19	-	95	57	38
Office Equipment	-	58	58	-	-	58	58	-
Land								
- Operational Land		5,675		5,675	-	5,590	-	5,590
- Community Land		1,205		1,205	-	1,188	-	1,188
- Improvements - depreciable		114	10	104	-	114	5	109
Buildings		2,037	1,226	811	-	1,957	1,148	809
Other Structures		110	33	77	-	110	30	80
Infrastructure		311,794	144,906	166,888	-	301,061	144,308	156,753
Total Sewerage Services	1,950	321,088	146,309	176,729	1,662	310,173	145,606	166,229
TOTAL RESTRICTED I,PP&E	2,265	709,517	328,263	383,519	1,941	683,671	316,855	368,757

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 10a. Payables, Borrowings & Provisions

\$ '000	Notes	2014		2013	
		Current	Non Current	Current	Non Current
Payables					
Goods & Services - operating expenditure		5,178	-	5,468	-
Payments Received In Advance		1,668	-	1,368	-
Accrued Expenses:					
- Other Expenditure Accruals		2,099	-	1,661	-
Security Bonds, Deposits & Retentions		982	-	820	-
Total Payables		9,927	-	9,317	-
Borrowings					
Loans - Secured ¹		3,078	45,899	2,927	48,925
Total Borrowings		3,078	45,899	2,927	48,925
Provisions					
Employee Benefits;					
Annual Leave		2,782	-	2,824	-
Long Service Leave		6,762	395	6,740	383
Sub Total - Aggregate Employee Benefits		9,544	395	9,564	383
Asset Remediation	26	-	3,091	-	3,506
Carbon Tax		441	4,683	-	2,152
Under Recovery on Real Estate Joint Venture		-	219	-	203
Total Provisions		9,985	8,388	9,564	6,244
Total Payables, Borrowings & Provisions		22,990	54,287	21,808	55,169
(i) Liabilities relating to Restricted Assets					
		2014		2013	
		Current	Non Current	Current	Non Current
Externally Restricted Assets					
Water		502	17	524	-
Sewer		1,870	11,844	1,785	13,196
Liabilities relating to externally restricted assets		2,372	11,861	2,309	13,196
Total Liabilities relating to restricted assets		2,372	11,861	2,309	13,196
Total Liabilities relating to Unrestricted Assets		20,618	42,426	19,499	41,973
TOTAL PAYABLES, BORROWINGS & PROVISIONS		22,990	54,287	21,808	55,169

¹. Loans are secured over the Income of Council

Disclosures on Liability Interest Rate Risk Exposures, Fair Value Disclosures & Security can be found in Note 15.

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 10a. Payables, Borrowings & Provisions (continued)

	Actual 2014	Actual 2013
\$ '000		

(ii) Current Liabilities not anticipated to be settled within the next 12 months

The following Liabilities, even though classified as current, are not expected to be settled in the next 12 months.

Provisions - Employees Benefits	6,299	7,354
	6,299	7,354

Note 10b. Description of and movements in Provisions

Class of Provision	2013	2014				
	Opening Balance as at 1/7/13	Additional Provisions	Decrease due to Payments	Remeasurement effects and Discounting	Unused amounts reversed	Closing Balance as at 30/6/14
Annual Leave	2,824	2,193	(2,235)	-	-	2,782
Long Service Leave	7,123	1,003	(969)	-	-	7,157
Asset Remediation	3,506	-	-	(415)	-	3,091
Carbon Tax	2,152	2,972	-	-	-	5,124
Other	203	16	-	-	-	219
TOTAL	15,808	6,184	(3,204)	(415)	-	18,373

- Employees Leave Entitlements & On-Costs represents those benefits accrued and payable and an estimate of those that will become payable in the future as a result of past service.
- Self Insurance Provisions represent both (i) Claims Incurred but Not reported and (ii) Claims Reported & Estimated as a result of Council's being a self insurer up to certain levels of Excess.
- Asset reinstatement, rehabilitation & restoration provisions represent the present value estimate of future costs Council will incur in order to remove, restore and remediate landfill assets and/or activities as a result of past operations.
- Other Provisions represent the impairment in the value of land held in the Thurgoona Industrial estate as per the latest land valuation carried out by Cosgraves Valuers.

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 11. Statement of Cash Flows - Additional Information

\$ '000	Notes	Actual 2014	Actual 2013
(a) Reconciliation of Cash Assets			
Total Cash & Cash Equivalent Assets	6a	27,917	25,029
Less Bank Overdraft	10	-	-
BALANCE as per the STATEMENT of CASH FLOWS		27,917	25,029
(b) Reconciliation of Net Operating Result to Cash provided from Operating Activities			
Net Operating Result from Income Statement		20,490	9,380
Adjust for non cash items:			
Depreciation & Amortisation		25,354	25,615
Net Losses/(Gains) on Disposal of Assets		1,642	191
Non Cash Capital Grants and Contributions		(6,589)	(6,453)
Impairment Losses Recognition - I,PP&E		16	55
Losses/(Gains) recognised on Fair Value Re-measurements through the P&L:			
- Investments classified as "At Fair Value" or "Held for Trading"		(355)	(630)
- Other (Artwork Recognition)		(5,589)	-
Unwinding of Discount Rates on Reinstatement Provisions		156	413
Share of Net (Profits) or Losses of Associates/Joint Ventures		(30)	(15)
+/- Movement in Operating Assets and Liabilities & Other Cash Items:			
Decrease/(Increase) in Receivables		186	(1,742)
Increase/(Decrease) in Provision for Doubtful Debts		43	(72)
Decrease/(Increase) in Inventories		(166)	24
Decrease/(Increase) in Other Assets		(7)	(7)
Increase/(Decrease) in Payables		(290)	966
Increase/(Decrease) in other accrued Expenses Payable		438	(354)
Increase/(Decrease) in Other Liabilities		462	312
Increase/(Decrease) in Employee Leave Entitlements		(8)	(14)
Increase/(Decrease) in Other Provisions		2,417	2,207
NET CASH PROVIDED FROM/(USED IN)			
OPERATING ACTIVITIES from the STATEMENT of CASH FLOWS		38,170	29,876

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 11. Statement of Cash Flows - Additional Information (continued)

\$ '000	Notes	Actual 2014	Actual 2013
(c) Non-Cash Investing & Financing Activities			
S94 Contributions "in kind"		4,650	4,571
S64 Contributions "in kind"		1,939	1,882
Total Non-Cash Investing & Financing Activities		6,589	6,453
(d) Financing Arrangements			
(i) Unrestricted access was available at balance date to the following lines of credit:			
Bank Overdraft Facilities		1,000	1,000
Credit Cards / Purchase Cards		300	300
Total Financing Arrangements		1,300	1,300
Amounts utilised as at Balance Date:			
- Bank Overdraft Facilities		-	-
- Credit Cards / Purchase Cards		-	-
Total Financing Arrangements Utilised		-	-

(ii) Secured Loan Liabilities

Loans are secured by a mortgage over future years income of Council.

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 12. Commitments for Expenditure

\$ '000	Notes	Actual 2014	Actual 2013
(a) Capital Commitments (exclusive of GST)			
Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:			
Property, Plant & Equipment			
- Construction Albury Art Gallery		7,566	662
- Flood Plain risk Management Study		396	-
- East Albury Tennis Court Demolition & Construction		286	-
- Urana Road Oval Netball Courts Construction		171	-
- Gap Road Lighting Upgrade - Stage 2		138	-
- Albury Regional Art Gallery - Architectural Services		99	-
Total Commitments		8,656	662
These expenditures are payable as follows:			
Within the next year		8,656	662
Total Payable		8,656	662

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 12. Commitments for Expenditure (continued)

\$ '000	Notes	Actual 2014	Actual 2013
(b) Finance Lease Commitments			
Nil			
(c) Operating Lease Commitments (Non Cancellable)			
a. Commitments under Non Cancellable Operating Leases at the Reporting date, but not recognised as Liabilities are payable:			
Within the next year		367	452
Later than one year and not later than 5 years		953	1,144
Total Non Cancellable Operating Lease Commitments		1,320	1,596

b. Non Cancellable Operating Leases include the following assets:
Carpark lease, Computer Equipment and Office Rentals

Conditions relating to Operating Leases:

- All Operating Lease Agreements are secured only against the Leased Asset.
- No Lease Agreements impose any financial restrictions on Council regarding future debt etc.

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 13a(i). Statement of Performance Measurement - Indicators (Consolidated)

\$ '000	Amounts 2014	Indicator 2014	Prior Periods 2013 2012	
Local Government Industry Indicators - Consolidated				
1. Operating Performance Ratio				
Total continuing operating revenue ⁽¹⁾				
(excl. Capital Grants & Contributions) - Operating Expenses	2,499	2.46%	-0.94%	-4.66%
Total continuing operating revenue ⁽¹⁾	101,533			
(excl. Capital Grants & Contributions)				
2. Own Source Operating Revenue Ratio				
Total continuing operating revenue ⁽¹⁾				
(less ALL Grants & Contributions)	95,418	79.00%	82.41%	82.52%
Total continuing operating revenue ⁽¹⁾	120,781			
3. Unrestricted Current Ratio				
Current Assets less all External Restrictions ⁽²⁾	36,625	2.56 : 1	3.18	3.15
Current Liabilities less Specific Purpose Liabilities ^(3, 4)	14,319			
4. Debt Service Cover Ratio				
Operating Result ⁽¹⁾ before capital excluding interest and depreciation / impairment / amortisation (EBITDA)	31,404	4.90%	4.05%	3.99%
Principal Repayments (from the Statement of Cash Flows) + Borrowing Interest Costs (from the Income Statement)	6,410			
5. Rates, Annual Charges, Interest & Extra Charges Outstanding Percentage				
Rates, Annual and Extra Charges Outstanding	1,051	1.91%	2.36%	2.93%
Rates, Annual and Extra Charges Collectible	55,043			
6. Cash Expense Cover Ratio				
Current Year's Cash and Cash Equivalents including All Term Deposits	56,343	8.51	6.10	4.33
Payments from cash flow of operating and financing activities	6,617			

Notes

⁽¹⁾ Excludes fair value adjustments and reversal of revaluation decrements, net gain/(loss) on sale of assets and net share of interests in joint ventures.

⁽²⁾ Refer Notes 6-8 inclusive.

Also excludes any Real Estate & Land for resale not expected to be sold in the next 12 months

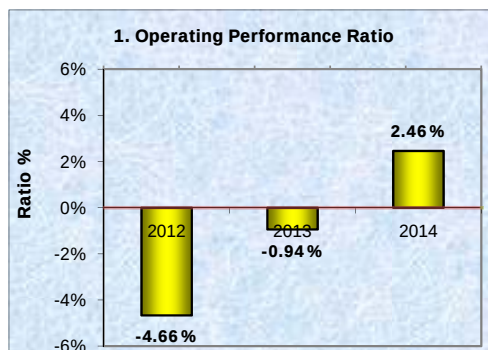
⁽³⁾ Refer to Note 10(a).

⁽⁴⁾ Refer to Note 10(a)(ii) - excludes all payables & provisions not expected to be paid in the next 12 months (incl. ELE).

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 13a(ii). Local Government Industry Indicators - Graphs (Consolidated)



Source for Benchmark: Code of Accounting Practice and Financial Reporting

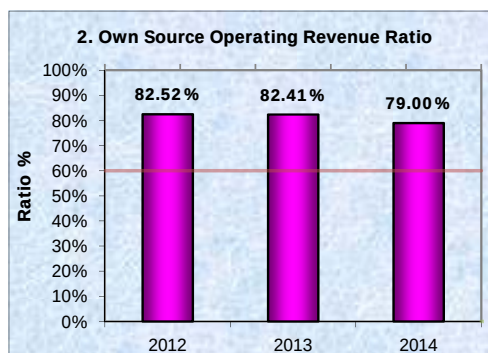
Purpose of Operating Performance Ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2013/14 Result

2013/14 Ratio 2.46%

The positive 2013/14 operating result reflects additional income received from Rates & Annual Charges of \$4.5M, which is comprised of General Fund; \$2.7M and Sewer Fund; \$1.8M.



Source for Benchmark: Code of Accounting Practice and Financial Reporting

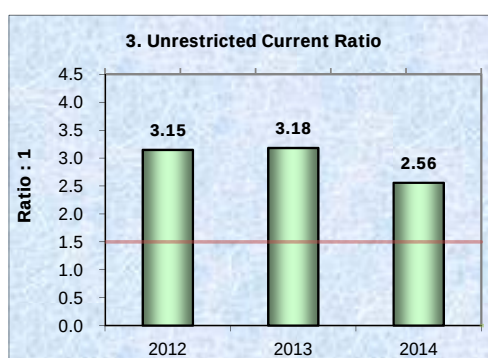
Purpose of Own Source Operating Revenue Ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants & contributions.

Commentary on 2013/14 Result

2013/14 Ratio 79.00%

The decrease in own source operating revenue is mainly due to the increase in capital contributions including the recognition of \$6M in Artworks previously donated.



Source for Benchmark: Code of Accounting Practice and Financial Reporting

Purpose of Unrestricted Current Ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2013/14 Result

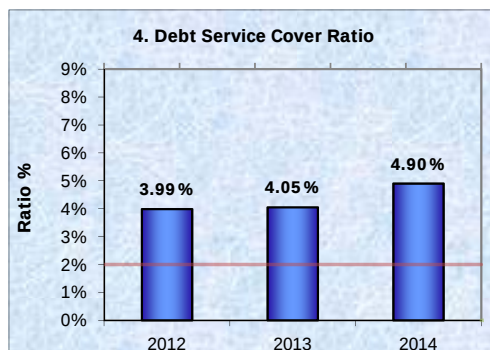
2013/14 Ratio 2.56 : 1

The decrease is mainly due to a reclassification of the \$5M contractual asset from current to non-current for the construction of a multideck carpark. It is likely that this asset will not be provided to Council by June 2015.

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 13a(ii). Local Government Industry Indicators - Graphs (Consolidated)



Minimum 2.00%

Source for Benchmark: NSW Treasury Corporation

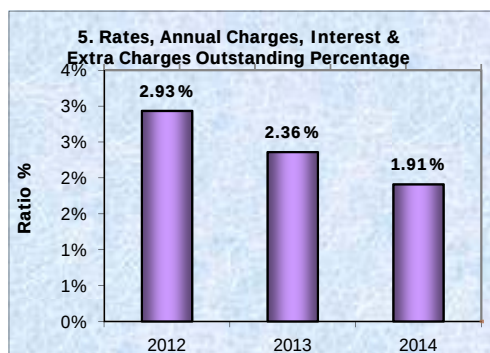
Purpose of Debt Service Cover Ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2013/14 Result

2013/14 Ratio 4.90%

AlburyCity remains well above the NSW Treasury Corporation's benchmark of 2% for the Debt Service Cover Ratio. This result reflects Council's improved operating result and a reduction in borrowing costs.



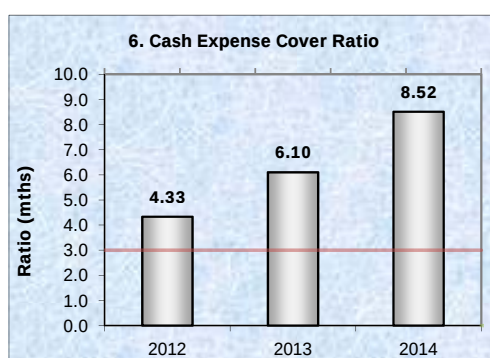
Purpose of Rates & Annual Charges Outstanding Ratio

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2013/14 Result

2013/14 Ratio 1.91%

AlburyCity retains one of the lowest ratio's for receivables in New South Wales. The Office of Local government recommends a ratio of less than 10% for rural councils.



Minimum 3.00

Source for Benchmark: Code of Accounting Practice and Financial Reporting

Purpose of Cash Expense Cover Ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on Result

2013/14 Ratio 8.51

The improved result is mainly due to a \$16M increase in restricted funds held as cash or investments including Water Supply; \$7M, Sewer Fund; \$5M and Carbon Tax; \$2M.

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 13b. Statement of Performance Measurement - Indicators (by Fund)

\$ '000	Water 2014	Sewer 2014	General ⁵ 2014
Local Government Industry Indicators - by Fund			
1. Operating Performance Ratio			
Total continuing operating revenue ⁽¹⁾			
<u>(excl. Capital Grants & Contributions) - Operating Expenses</u>	12.18%	17.34%	-2.66%
Total continuing operating revenue ⁽¹⁾			
(excl. Capital Grants & Contributions)	prior period: 2.85%	6.96%	-3.28%
2. Own Source Operating Revenue Ratio			
Total continuing operating revenue ⁽¹⁾	84.71%	80.14%	77.69%
(less ALL Grants & Contributions)			
Total continuing operating revenue ⁽¹⁾	prior period: 91.08%	87.00%	79.89%
3. Unrestricted Current Ratio			
Current Assets less all External Restrictions ⁽²⁾	29.84 : 1	8.58 : 1	2.56 : 1
Current Liabilities less Specific Purpose Liabilities ^(3, 4)			
	prior period: 17.06	7.36	3.18
4. Debt Service Cover Ratio			
Operating Result ⁽¹⁾ before capital excluding interest and depreciation / impairment / amortisation (EBITDA)	0.00%	7.50%	3.10%
Principal Repayments (from the Statement of Cash Flows) + Borrowing Interest Costs (from the Income Statement)	prior period: 0.00%	5.26%	2.85%
5. Rates, Annual Charges, Interest & Extra Charges Outstanding Percentage			
Rates, Annual and Extra Charges Outstanding	0.04%	0.06%	2.57%
Rates, Annual and Extra Charges Collectible			
	prior period: 0.12%	0.08%	3.18%
6. Cash Expense Cover Ratio			
Current Year's Cash and Cash Equivalents including All Term Deposits	17.40	12.86	6.61
Payments from cash flow of operating and financing activities	prior period: 5.03	7.32	6.00

Notes

(1) - (4) Refer to Notes at Note 13a(i) above.

(5) General Fund refers to all of Council's activities except for its Water & Sewer activities which are listed separately.

Note 14. Investment Properties

Council has not classified any Land or Buildings as "Investment Properties"

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 15. Financial Risk Management

\$ '000

Risk Management

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's Finance Section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's Financial Assets & Financial Liabilities recognised in the financial statements is presented below.

	Carrying Value		Fair Value	
	2014	2013	2014	2013
Financial Assets				
Cash and Cash Equivalents	27,917	25,029	27,917	40,049
Investments				
- "Held for Trading"	-	102	-	102
- "Held to Maturity"	-	-	28,426	-
Receivables	21,253	21,482	21,253	21,482
Total Financial Assets	77,596	61,633	77,596	61,633
Financial Liabilities				
Payables	8,259	7,949	8,266	7,949
Loans / Advances	48,977	51,852	48,949	51,852
Total Financial Liabilities	57,236	59,801	57,215	59,801

Fair Value is determined as follows:

- **Cash & Cash Equivalents, Receivables, Payables** - are estimated to be the carrying value which approximates mkt value.
- **Borrowings & Held to Maturity** Investments - are based upon estimated future cash flows discounted by the current market interest rates applicable to assets & liabilities with similar risk profiles, unless quoted market prices are available.
- Financial Assets classified (i) **"at fair value through profit & loss"** or (ii) **Available for Sale** - are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Refer to Note 27 - Fair Value Measurement for information regarding the fair value of financial assets & liabilities

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 15. Financial Risk Management (continued)

\$ '000

(a) Cash & Cash Equivalents, Financial assets 'at fair value through the profit & Loss'
"Available-for-sale" financial assets & "Held-to-maturity" Investments

Council's objective is to maximise its return on cash & investments whilst maintaining an adequate level of liquidity and preserving capital.

Council has an Investment Policy which complies with the Local Government Act & Minister's Investment Order. This Policy is regularly reviewed by Council and its staff and an Investment Report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance.

The risks associated with the investments held are:

- **Price Risk** - the risk that the capital value of Investments may fluctuate due to changes in market prices, whether there changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest Rate Risk** - the risk that movements in interest rates could affect returns and income.
- **Credit Risk** - the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council - be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

The following represents a summary of the sensitivity of Council's Income Statement and Accumulated Surplus (for the reporting period) due to a change in either the price of a financial asset or the interest rates applicable.

It is assumed that the change in interest rates would have been constant throughout the reporting period.

	Increase of Values/Rates		Decrease of Values/Rates	
	Profit	Equity	Profit	Equity
2014				
Possible impact of a 10% movement in Market Values	-	-	-	-
Possible impact of a 1% movement in Interest Rates	563	563	(563)	(563)
2013				
Possible impact of a 10% movement in Market Values	10	10	(10)	(10)
Possible impact of a 1% movement in Interest Rates	400	400	(400)	(400)

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 15. Financial Risk Management (continued)

\$ '000

(b) Receivables

Council's major receivables comprise (i) Rates & Annual charges and (ii) User Charges & Fees.

The major risk associated with these receivables is credit risk - the risk that debts due and payable to Council may not be repaid in full.

Council manages this risk by monitoring outstanding debt and employing stringent debt recovery procedures. It also encourages ratepayers to pay their rates by the due date through incentives.

Credit risk on rates and annual charges is minimised by the ability of Council to secure a charge over the land relating to the debts - that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates & annual charges at higher than market rates which further encourages the payment of debt.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

A profile of Council's receivables credit risk at balance date follows:

	2014 Rates & Annual Charges	2014 Other Receivables	2013 Rates & Annual Charges	2013 Other Receivables
(i) Ageing of Receivables - %				
Current (not yet overdue)	0%	84%	0%	83%
Overdue	100%	17%	100%	17%
	100%	100%	100%	100%

(ii) Ageing of Receivables - value

Current (not yet overdue)	-	18,005	-	18,015
Past due by up to 30 days	-	731	-	597
Past due between 31 and 180 days	-	1,459	-	1,744
Past due between 181 and 365 days	1,051	-	1,189	-
Past due by more than 1 year	-	308	-	195
	1,051	20,503	1,189	20,551

(iii) Movement in Provision for Impairment of Receivables

	2014	2013
Balance at the beginning of the year	258	330
+ new provisions recognised during the year	114	118
- amounts already provided for & written off this year	(69)	(184)
- amounts provided for but recovered during the year	(2)	(5)
- previous impairment losses reversed	-	(1)
Balance at the end of the year	301	258

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 15. Financial Risk Management (continued)

\$ '000

(c) Payables & Borrowings

Payables & Borrowings are both subject to liquidity risk - the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels and maintaining an adequate cash buffer.

Payment terms can (in extenuating circumstances) also be extended & overdraft facilities utilised as required.

The contractual undiscounted cash outflows (ie. principal and interest) of Council's Payables & Borrowings are set out in the maturity table below:

\$ '000	Subject	payable in:						Total	Actual
	to no maturity	≤ 1 Year	1-2 Yrs	2-3 Yrs	3-4 Yrs	4-5 Yrs	> 5 Yrs	Cash Outflows	Carrying Values
2014									
Trade/Other Payables	982	7,278	-	-	-	-	-	8,260	8,259
Loans & Advances	-	6,279	6,279	6,279	7,918	6,904	39,199	72,858	48,977
Total Financial Liabilities	982	13,557	6,279	6,279	7,918	6,904	39,199	81,118	57,236
2013									
Trade/Other Payables	820	7,130	-	-	-	-	-	7,950	7,949
Loans & Advances	-	6,612	6,612	6,612	6,380	5,252	33,246	64,714	51,852
Total Financial Liabilities	820	13,742	6,612	6,612	6,380	5,252	33,246	72,664	59,801

Borrowings are also subject to interest rate risk - the risk that movements in interest rates could adversely affect funding costs & debt servicing requirements. Council manages this risk through the diversification of borrowing types, maturities & interest rate structures.

The following interest rates were applicable to Council's Borrowings at balance date:

	2014		2013	
	Carrying Value	Average Interest Rate	Carrying Value	Average Interest Rate
Trade/Other Payables	8,259	0.0%	7,949	0.0%
Loans & Advances - Fixed Interest Rate	48,977	6.9%	51,852	6.9%
	<u>57,236</u>		<u>59,801</u>	

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 16. Material Budget Variations

\$ '000

Council's Original Financial Budget for the 13/14 financial year was adopted by the Council on 26 May 2013.

While the Income Statement included in this General Purpose Financial Report must disclose the Original Budget adopted by Council, the Local Government Act 1993 requires Council to review its Financial Budget on a quarterly basis, so that it is able to manage the various variations between actuals versus budget that invariably occur throughout the year.

This Note sets out the details of material variations between Council's Original Budget and its actual results for the year as per the Income Statement - even though such variations may have been adjusted for during each Quarterly Budget Review.

Note that for Variations* of Budget to Actual :

Material Variations represent those variances that amount to **10%** or more of the original budgeted figure.

F = Favourable Budget Variation, **U** = Unfavourable Budget Variation

\$ '000	2014 Budget	2014 Actual	2014 Variance*	
REVENUES				
Rates & Annual Charges	53,309	53,508	199	0% F
User Charges & Fees	35,330	37,188	1,858	5% F
Interest & Investment Revenue	1,638	2,457	819	50% F
Increase in the value of term deposits held and the value realised from the maturity of Council's remaining CDO's were \$335K higher than their book value which had been written down in previous years.				
Other Revenues	2,264	2,620	356	16% F
Compared to budget Council received additional grant funding of \$124K for Childcare Benefits, additional Events income of \$75K and additional income of \$54K from Youth Cafe Operations. Council also received unbudgeted commissions from energy production at its Landfill Site to the value of \$95K.				
Operating Grants & Contributions	9,090	6,115	(2,975)	(33%) U
Fifty per cent of Council's 2013/14 Financial Assistance Grant funding of \$3.68M was received in the 2012/13 financial year. Offsetting this decrease, Council received additional grant funds for the following programs: Waste Minimisation \$226K, National Disaster \$217K and Childcare programs \$169K.				
Capital Grants & Contributions	2,351	19,248	16,897	719% F
Unbudgeted non-cash contributions recognised during the financial year included Asset Dedications of \$6.59M and Art previously donated to the Albury Regional Art Gallery of \$5.63M. Additional Developer Contributions of \$4.51M were also received during the 2013/14 financial year.				
Net Gains from Disposal of Assets	601	-	(601)	(100%) U
A net loss on disposal of assets was realised rather than a net gain due to the unbudgeted demolition of buildings as part of the redevelopment of the Albury Regional Art Gallery.				
Share of Net Profits - Joint Ventures & Associates	-	30	30	0% F
Council's share of net profits from Joint Ventures was not budgeted for; a small profit has been achieved.				

AlburyCity Council

Notes to the Financial Statements

for the financial year ended 30 June 2014

Note 16. Material Budget Variations (continued)

\$ '000	2014 Budget	2014 Actual	2014 Variance*	
EXPENSES				
Employee Benefits & On-Costs	34,578	33,231	1,347	4% F
Borrowing Costs	3,946	3,535	411	10% F
Borrowing costs were less than budget as new loans of \$6.5M were not drawn down during the financial year as budgeted, mainly due to the timing of infrastructure projects.				
Materials & Contracts	23,424	22,846	578	2% F
Depreciation & Amortisation	25,703	25,354	349	1% F
Impairment Expenses	-	16	(16)	0% U
Council has recognised its share of a small unbudgeted deterioration in the value of land inventory in the Thurgoona Industrial Estate Joint Venture with the Albury Wodonga Corporation.				
Other Expenses	14,252	14,052	200	1% F
Net Losses from Disposal of Assets	-	1,642	(1,642)	0% U
An asset write down to the value of \$1.78M has been recognised reflecting the part demolition of buildings as part of the redevelopment of the Albury Regional Art Gallery. Offsetting this is a profit on sale of Plant items of \$118K.				
Budget Variations relating to Council's Cash Flow Statement include:				
Cash Flows from Operating Activities	29,916	38,170	8,254	27.6% F
The increase in cash provided in operating activities was due to:				
- User charges and fees were \$2.18M more than budget mainly due to increased water usage income of \$1.52M.				
- Grants and contributions were \$1.75M more than budget due to increased developer contributions.				
- Employee costs were \$1.34M less than budget due to vacancies during the year.				
Cash Flows from Investing Activities	(27,075)	(32,407)	(5,332)	19.7% U
Cash used in investing activities increased due to a \$13.41M increase in term deposits classified as investments rather than cash equivalents. This was offset by a decrease in payments for capital works of \$7.94M compared to budget.				
Cash Flows from Financing Activities	3,023	(2,875)	(5,898)	(195.1%) U
New loans of \$6.5M were not drawn down as budgeted due to the timing of infrastructure projects.				

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 17. Statement of Developer Contributions

\$ '000

Council recovers contributions, raises levies & enters into planning agreements on development works that are subject to a development consent issued by Council. All contributions must be spent/utilised for the specific purpose they were levied and any interest applicable to unspent funds must be attributed to remaining funds.

The following tables detail the receipt, interest and use of the above contributions & levies and the value of all remaining funds which are "restricted" in their future use.

SUMMARY OF CONTRIBUTIONS & LEVIES

PURPOSE	Opening Balance	Contributions received during the Year		Interest earned in Year	Expenditure during Year	Internal Borrowing (to)/from	Held as Restricted Asset	Projections			Cumulative Internal Borrowings due/(payable)
		Cash	Non Cash					Future income	Exp still outstanding	Over or (under) Funding	
Drainage	207	68	-	8	(75)	-	208	15	(220)	3	-
Roads	343	1,022	-	12	(1,025)	-	352	120	(470)	2	-
Parking	80	-	-	2	-	-	82	26	(105)	3	-
Open Space	257	345	-	9	(350)	-	261	24	(280)	5	-
Community Facilities	430	352	-	29	-	-	811	36	(842)	5	-
S94 Contributions - under a Plan	1,317	1,787	-	60	(1,450)	-	1,714	221	(1,917)	18	-
Total S94 Revenue Under Plans	1,317	1,787	-	60	(1,450)	-	1,714				-
S64 Contributions	1,092	4,075		114	(2,057)		3,224				
Total Contributions	2,409	5,862	-	174	(3,507)	-	4,938	221	(1,917)	18	-

Financial Statements 2014

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 17. Statement of Developer Contributions (continued)

\$ '000

S94 CONTRIBUTIONS - UNDER A PLAN

CONTRIBUTION PLAN - ALBURY

PURPOSE	Opening Balance	Contributions received during the Year		Interest earned in Year	Expenditure during Year	Internal Borrowing (to)/from	Held as Restricted Asset	Projections			Cumulative Internal Borrowings due/(payable)
		Cash	Non Cash					Future income	Exp still outstanding	Over or (under) Funding	
Drainage	207	68		8	(75)		208	15	(220)	3	
Roads	343	1,022		12	(1,025)		352	120	(470)	2	
Parking	80			2			82	26	(105)	3	
Open Space	257	345		9	(350)		261	24	(280)	5	
Community Facilities	430	352		29			811	36	(842)	5	
Total	1,317	1,787	-	60	(1,450)	-	1,714	221	(1,917)	18	-

CONTRIBUTION PLAN - HUME

PURPOSE	Opening Balance	Contributions received during the Year		Interest earned in Year	Expenditure during Year	Internal Borrowing (to)/from	Held as Restricted Asset	Projections			Cumulative Internal Borrowings due/(payable)
		Cash	Non Cash					Future income	Exp still outstanding	Over or (under) Funding	
Drainage	-						-			-	
Roads	-						-			-	
Parking	-						-			-	
Open Space	-						-			-	
Community Facilities	-						-			-	
Other	-						-			-	
Total	-	-	-	-	-	-	-	-	-	-	-

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 18. Contingencies & Other Assets/Liabilities Not Recognised

\$ '000

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge & disclosure is considered relevant to the users of Council's Financial Report.

LIABILITIES NOT RECOGNISED:

1. Guarantees

(i) Defined Benefit Superannuation Contribution Plans

Council participates in an employer sponsored Defined Benefit Superannuation Scheme, and makes contributions as determined by the Superannuation Scheme's Trustees.

Member Councils bear responsibility of ensuring there are sufficient funds available to pay out the required benefits as they fall due.

The last valuation of the Scheme was performed by Mr Richard Boyfield of Mercer Consulting (Australia) Pty Ltd (AFS Licence 411770) and covers the period ended 30 June 2014. This indicated that the Net Assets of the Scheme were not sufficient to meet the accrued benefits of the Schemes Defined Benefit member category with member Councils required to make significantly higher contributions in future years.

Effective from 1 July 2009, employers are required to contribute additional contributions to assist in extinguishing this deficit. The amount of this additional contribution is \$483,687 per annum.

The Local Government Superannuation Scheme however is unable to provide Council with an accurate estimate of its share of the net deficit and accordingly Council has not recorded any net liability from its Defined Benefit Scheme obligations in accordance with AASB 119.

Future contributions made to the defined benefit scheme to rectify the net deficit position will be recognised as an expense when they become payable - similar to the accounting for Defined Contributions Plans.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability Government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the Net Assets or Liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the Fund Years.

The future realisation and finalisation of claims incurred but not reported to 30/6 this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW Local Government Industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the Company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of Net Assets in accordance with its Licence Requirements.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 18. Contingencies & Other Assets/Liabilities Not Recognised (continued)

\$ '000

LIABILITIES NOT RECOGNISED (continued):

(iv) Council as Guarantor of Loan

AlburyCity is acting as guarantor of a commercial loan to the original principal value of \$120,000 from the Bendigo Bank over a period of 15 years in relation to the North Street Building for Albury Wodonga Table Tennis Association (AWTTA).

(v) Landfill Aftercare

In addition to restoration costs, the landfill site may require additional after-care costs after the closure of the landfill site. After-care is defined as ongoing monitoring and rectification works associated with any identified site disturbance, problems or risks.

A liability for these contingent costs have not been recognised in the financial statements the ultimate cost of after-care is uncertain and cost estimates can vary in response to many factors including changes to the relevant legal requirements, the nature of site disturbance and future developments and the emergence of new remediation techniques.

Furthermore, the after-care costs may continue for many years after the closure of the site, the timing of costs subject to a number of factors including the estimated life expectancy of the site.

Best estimates suggest that the current operational cells at the Albury Landfill site has a residual life of approximately 15 years based on current waste volumes.

(vi) Other Guarantees

Council has provided no other Guarantees other than those listed above.

2. Other Liabilities

(i) Third Party Claims

Restrictions imposed by Council

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its Insurance Coverage and does not expect any material liabilities to eventuate.

(ii) S94 Plans

Council levies Section 94/94A Contributions upon various development across the Council area through the required Contributions Plans.

As part of these Plans, Council has received funds for which it will be required to expend the monies in accordance with those Plans.

As well, these Plans indicate proposed future expenditure to be undertaken by Council, which will be funded by making levies and receipting funds in future years or where a shortfall exists by the use of Council's General Funds.

These future expenses do not yet qualify as liabilities as of the Reporting Date, but represent Councils intention to spend funds in the manner and timing set out in those Plans.

(iii) Potential Land Acquisitions due to Planning

Council has classified a number of privately owned land parcels as Local Open Space or Bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 18. Contingencies & Other Assets/Liabilities Not Recognised (continued)

\$ '000

At reporting date, reliable estimates as to the value of any potential liability (& subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED:

(i) Land Under Roads

As permitted under AASB 1051, Council has elected not to bring to account Land Under Roads that it owned or controlled up to & including 30/6/08.

(ii) Museum Artifacts

Museum artifacts have not been taken into assets as yet because they have not been valued.
It is intended to complete this process at some stage in the future.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 19. Controlled Entities, Associated Entities & Interests in Joint Ventures

\$ '000

Council's objectives can and in some cases are best met through the use of separate entities & operations.

These operations and entities range from 100% ownership and control through to lower levels of ownership and control via co-operative arrangements with other Councils, Bodies and other Outside Organisations.

The accounting and reporting for these various entities, operations and arrangements varies in accordance with accounting standards, depending on the level of Councils (i) interest and (ii) control and the type (form) of entity/operation, as follows;

Subsidiaries

Note 19(a)

Operational Arrangements where Councils Control (but not necessarily Interest) exceeds 50%

Associated Entities & Joint Venture Entities

Note 19(b) (i)&(ii)

Arrangements in the form of a Separate Entity that deploys the resources of the operation itself. Under Associated Entities, Council significantly influences the operations (but does not control them, whilst for JV Entities, Council Jointly Controls the Operations with other parties.

Joint Venture Operations

Note 19(c)

Arrangements that do not comprise an actual individual entity which can deploy the resources of the individual participants. Under JV Operations, Council Jointly Controls the operations with the Other Parties involved.

Subsidiaries, Associated Entities and Joint Ventures Not Recognised

Note 19(d)

Accounting Recognition:

(i) Subsidiaries disclosed under Note 19(a), and Joint Venture Operations disclosed at Note 19(c), are accounted for on a Line by Line Consolidation basis within the Income Statement and Statement of Financial Position.

(ii) Associated Entities and Joint Venture Entities as per Notes 19(b)(i) & (ii) are accounted for using the Equity Accounting Method - and are disclosed as a 1 line entry in both the Income Statement and Statement of Financial Position.

	Council's Share of Net Income		Council's Share of Net Assets	
	Actual 2014	Actual 2013	Actual 2014	Actual 2013
Associated Entities	30	15	976	1,119
Total	30	15	976	1,119

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 19. Controlled Entities, Associated Entities & Interests in Joint Ventures

\$ '000

(a) Subsidiaries (ie. Entities & Operations controlled by Council)

Council has no interest in any Subsidiaries.

(b) Associated Entities & Joint Venture Entities

(i) ASSOCIATED ENTITIES

(a) Net Carrying Amounts - Council's Share

Name of Entity	Principal Activity	2014	2013
Hume Gardens Residential Estate	Development of residential land	147	253
Thurgoona Industrial Estate	Development of industrial land	829	866
Total Carrying Amounts - Associated Entities		976	1,119

(b) Relevant Interests

Name of Entity	Interest in Outputs		Interest in Ownership		Proportion of Voting Power	
	2014	2013	2014	2013	2014	2013
Hume Gardens Residential Estate	13.68%	14.00%	13.68%	14.00%	20.00%	20.00%
Thurgoona Industrial Estate	13.39%	13.52%	13.39%	13.52%	50.00%	50.00%

(c) Movement in Carrying Amounts of Council's Equity Interest

	Hume Gardens Residential Estate		Thurgoona Industrial Estate	
	2014	2013	2014	2013
Opening Balance	253	311	866	876
Share in Operating Result	45	25	(15)	(10)
New Capital Contributions	-	-	17	-
Distributions Received	(151)	(83)	(39)	-
Adjustments to Equity	-	-	-	-
Council's Equity Share in the Associated Entity	147	253	829	866

(d) Summarised Financial Information of Associated Entities - Council's Share

2014	Assets	Liabilities	Net Assets	Revenues	Profit
Hume Gardens Residential Estate	147	-	147	148	45
Thurgoona Industrial Estate	829	-	829	38	(15)
Totals	976	-	976	186	30
2013	Assets	Liabilities	Net Assets	Revenues	Profit
Hume Gardens Residential Estate	253	-	253	79	25
Thurgoona Industrial Estate	866	-	866	-	(10)
Totals	1,119	-	1,119	79	15

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 20. Equity - Retained Earnings and Revaluation Reserves

\$ '000	Notes	Actual 2014	Actual 2013
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(a) Retained Earnings

Movements in Retained Earnings were as follows:

Balance at beginning of Year (from previous years audited accounts)		634,971	625,591
d. Net Operating Result for the Year		20,490	9,380
Balance at End of the Reporting Period		655,461	634,971

(b) Reserves

(i) Reserves are represented by:

- Infrastructure, Property, Plant & Equipment Revaluation Reserve		424,699	314,751
Total		424,699	314,751

(ii) Reconciliation of movements in Reserves:**Infrastructure, Property, Plant & Equipment Revaluation Reserve**

- Opening Balance		314,751	289,178
- Revaluations for the year	9(a)	109,948	25,551
- Revaluation of Water Licence		-	22
- Balance at End of Year		424,699	314,751
TOTAL VALUE OF RESERVES		424,699	314,751

(iii) Nature & Purpose of Reserves**Infrastructure, Property, Plant & Equipment Revaluation Reserve**

- The Infrastructure, Property, Plant & Equipment Revaluation Reserve is used to record increments/decrements of Non Current Asset values due to their revaluation.

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 21. Financial Result & Financial Position by Fund

\$ '000

Income Statement by Fund \$ '000	Actual 2014	Actual 2014	Actual 2014
Continuing Operations	Water	Sewer	General¹
Income from Continuing Operations			
Rates & Annual Charges	2,280	12,252	38,976
User Charges & Fees	10,410	2,928	23,850
Interest & Investment Revenue	327	451	1,679
Other Revenues	151	305	2,164
Grants & Contributions provided for Operating Purposes	158	158	5,799
Grants & Contributions provided for Capital Purposes	2,218	3,796	13,234
Other Income			
Net Gains from Disposal of Assets	-	28	-
Share of interests in Joint Ventures & Associates using the Equity Method	-	-	30
Total Income from Continuing Operations	15,544	19,918	85,732
Expenses from Continuing Operations			
Employee Benefits & on-costs	1,221	1,802	30,208
Borrowing Costs	-	983	2,552
Materials & Contracts	1,258	2,590	18,998
Depreciation & Amortisation	5,572	3,662	16,120
Impairment			16
Other Expenses	3,577	4,093	6,382
Net Losses from the Disposal of Assets	20	-	1,650
Total Expenses from Continuing Operations	11,648	13,130	75,926
Operating Result from Continuing Operations	3,896	6,788	9,806
Discontinued Operations			
Net Profit/(Loss) from Discontinued Operations	-	-	-
Net Operating Result for the Year	3,896	6,788	9,806
Net Operating Result attributable to each Council Fund	3,896	6,788	9,806
Net Operating Result attributable to Non-controlling Interests	-	-	-
Net Operating Result for the year before Grants and Contributions provided for Capital Purposes	1,678	2,992	(3,428)

¹ General Fund refers to all Council's activities other than Water & Sewer.

NB. All amounts disclosed above are Gross - that is, they include internal charges & recoveries made between the Funds.

AlburyCity Council

Notes to the Financial Statements
as at 30 June 2014

Note 21. Financial Result & Financial Position by Fund (continued)

\$ '000

Statement of Financial Position by Fund \$ '000	Actual 2014	Actual 2014	Actual 2014
ASSETS	Water	Sewer	General¹
Current Assets			
Cash & Cash Equivalents	5,180	6,249	16,488
Investments	5,275	6,363	16,788
Receivables	4,940	5,892	5,201
Inventories	308	38	4,620
Other	-	-	171
Total Current Assets	15,703	18,542	43,268
Non-Current Assets			
Receivables	-	-	5,220
Infrastructure, Property, Plant & Equipment	206,790	176,729	688,364
Investments Accounted for using the equity method	-	-	976
Intangible Assets	1,673	-	172
Total Non-Current Assets	208,463	176,729	694,732
TOTAL ASSETS	224,166	195,271	738,000
LIABILITIES			
Current Liabilities			
Payables	71	126	9,730
Borrowings	-	1,362	1,716
Provisions	431	382	9,172
Total Current Liabilities	502	1,870	20,618
Non-Current Liabilities			
Borrowings	-	11,834	34,065
Provisions	17	10	8,361
Total Non-Current Liabilities	17	11,844	42,426
TOTAL LIABILITIES	519	13,714	63,044
Net Assets	223,647	181,557	674,956
EQUITY			
Retained Earnings	156,753	131,735	366,973
Revaluation Reserves	66,894	49,822	307,983
Council Equity Interest	223,647	181,557	674,956
Total Equity	223,647	181,557	674,956

¹ General Fund refers to all Council's activities other than Water & Sewer.

NB. All amounts disclosed above are Gross - that is, they include internal receivables & payables between the Funds.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 22. "Held for Sale" Non Current Assets & Disposal Groups

Council did not classify any Non Current Assets or Disposal Groups as "Held for Sale".

Note 23. Events occurring after the Reporting Date

Events that occur between the end of the reporting period (ending 30 June 2014) and the date when the financial statements are "authorised for issue" have been taken into account in preparing these statements.

Council has adopted the date of receipt of the Auditors' Report as the applicable "authorised for issue" date relating to these General Purpose Financial Statements.

Accordingly, the "authorised for issue" date is 27 October 2014.

As a result of the repeal of the *Clean Energy Act 2011* by the Commonwealth Government on 17 July 2014 AlburyCity Council will not be subject to a carbon tax liability from 1 July 2014 for emissions from waste deposited at the Albury Waste Management Centre, which was recognised as a non- current liability of \$4.68M at 30 June 2014, refer Note 10a.

However Council's obligations are not presently known regarding unexpended fees collected to offset Council's carbon tax liability, which are held as an internally restricted asset, refer Note 6c. Although AlburyCity Council will not be liable for a carbon tax liability for emissions generated from 1 July 2014, Council is liable for emissions from waste during the 2013-14 financial year, which was recognised as a current liability of \$411K at 30 June 2014, refer Note 10a.

The financial effects of the above event have not been brought to account at 30 June 2014.

Note 24. Discontinued Operations

Council has not classified any of its Operations as "Discontinued".

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 25. Intangible Assets

\$ '000	Actual 2014	Actual 2013
Intangible Assets are as follows;		
Opening Values:		
Gross Book Value (1/7)	1,845	1,823
Net Book Value - Opening Balance	1,845	1,823
Movements for the year		
- Other Capitalised Costs (Revaluation)	-	22
Closing Values:		
Gross Book Value (30/6)	1,845	1,845
<u>TOTAL INTANGIBLE ASSETS - NET BOOK VALUE</u> ¹	<u>1,845</u>	<u>1,845</u>

¹. The Net Book Value of Intangible Assets represent:

- Other Assets (Water Licence - Water Fund)	1,673	1,673
- Other Assets (Water Licence - General Fund)	172	172
	1,845	1,845

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 26. Reinstatement, Rehabilitation & Restoration Liabilities

\$ '000

Council is required by law to restore the present Albury Landfill site at the end of its useful life. Based on projected waste tonnages, current operational landfill cells at the Albury Landfill site are anticipated to end their useful life in 2029 (revised from 2046 in the 2013 financial statements). The projected cost of this restoration is \$13.8 million in 2029, which has been discounted to its present value at 4.1% per annum being the risk-free cost of borrowing to Council.

Asset/Operation	Estimated year of restoration	NPV of Provision	
		2014	2013
Albury Landfill	2029	3,091	3,506
Balance at End of the Reporting Period	10(a)	<u>3,091</u>	<u>3,506</u>

Under AASB 116 - Property, Plant & Equipment, where the use of an asset results in the obligation to dismantle or remove the asset and restore the site on which the asset stands, an estimate of such costs is required to be included in the cost of the asset.

An equivalent liability must be recognised under AASB 137 - Provisions, Contingent Liabilities and Contingent Assets.

The provision has been calculated by determining the present value of the future expenditures expected to be incurred. The discount rate used is the risk free borrowing rate applicable to Council.

Reconciliation of movement in Provision for year:

Balance at beginning of year	3,506	3,093
Reduction in Value of Landfill Remediation Asset	(571)	-
Amortisation of discount (expensed to borrowing costs)	156	413
Total - Reinstatement, rehabilitation and restoration provision	<u>3,091</u>	<u>3,506</u>

Amount of Expected Reimbursements

The above Provision for Reinstatement, Rehabilitation and Restoration works is able to be funded through future waste management fees and charges. Council currently holds internally restricted cash assets of \$1,710 to offset this provision

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 27. Fair Value Measurement

\$ '000

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, Property, Plant and Equipment
- Financial Assets & Liabilities

The fair value of assets and liabilities must be estimated in accordance with various Accounting Standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a "level" in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 27. Fair Value Measurement (continued)

\$ '000

(1) The following table presents all assets and liabilities that have been measured & recognised at fair values:

2014	Date of latest Valuation	Fair Value Measurement Hierarchy			Total
		Level 1 Quoted prices in active mkts	Level 2 Significant observable inputs	Level 3 Significant unobservable inputs	
Recurring Fair Value Measurements					
Infrastructure, Property, Plant & Equipment					
Plant & Equipment	Various	-	6,433	-	6,433
Office Equipment, Furniture & Fittings	Various	-	3,251	-	3,251
Land - Operational	30/06/2014	-	36,470	-	36,470
Land - Community	30/06/2014	-	-	31,205	31,205
Land - Under Roads	30/06/2014	-	-	147	147
Land Improvements - Non Depreciable	30/06/2014	-	1,625	-	1,625
Land Improvements - Depreciable	30/06/2014	-	26,179	-	26,179
Buildings - Non Specialised	30/06/2014	-	87,395	-	87,395
Other Structures	30/06/2014	-	4,562	-	4,562
Infrastructure - Roads - Segment	30/06/2014	-	-	292,755	292,755
Infrastructure - Roads - Paths	30/06/2014	-	-	18,356	18,356
Infrastructure - Roads - Carparks	30/06/2014	-	-	18,025	18,025
Infrastructure - Roads - Bridges & Culverts	30/06/2014	-	-	9,212	9,212
Infrastructure - Drainage - Mains	30/06/2014	-	-	114,552	114,552
Infrastructure - Drainage - Open Channel Drains	30/06/2014	-	-	20,497	20,497
Infrastructure - Drainage - Back of Lot Drainage	30/06/2014	-	-	10,694	10,694
Infrastructure - Drainage - Levees	30/06/2014	-	-	2,381	2,381
Infrastructure - Drainage - Flood Pumps	30/06/2014	-	-	417	417
Infrastructure - Water Supply - Filtration Plant	30/06/2014	-	-	22,074	22,074
Infrastructure - Water Supply - Pump Stations	30/06/2014	-	-	4,748	4,748
Infrastructure - Water Supply - Reservoirs	30/06/2014	-	-	18,430	18,430
Infrastructure - Water Supply - Pipe Network	30/06/2014	-	-	151,516	151,516
Infrastructure - Water Supply - Water Meters	30/06/2014	-	-	7,857	7,857
Infrastructure - Sewerage - Treatment Works	30/06/2014	-	-	33,694	33,694
Infrastructure - Sewerage - Pump Sites	30/06/2014	-	-	8,301	8,301
Infrastructure - Sewerage - Mains	30/06/2014	-	-	124,533	124,533
Infrastructure - Sewerage - Telemetry	30/06/2014	-	-	248	248
Infrastructure - Sewerage - Electronics	30/06/2014	-	-	112	112
Landfill Remediation	30/06/2014	-	-	190	190
Library Books	Various	-	-	1,294	1,294
Other	Various	6,395	-	418	6,813
Total Infrastructure, Property, Plant & Equipment		6,395	165,915	891,656	1,063,966
Intangible Assets					
Water License	30/06/2014	-	1,845	-	1,845
Total Intangible Assets		-	1,845	-	1,845

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 27. Fair Value Measurement (continued)

\$ '000

(2) Transfers between Level 1 & Level 2 Fair Value Hierarchies

During the year, there were no transfers between Level 1 and Level 2 Fair Value hierarchies for recurring fair value measurements.

(3) Valuation techniques used to derive Level 2 and Level 3 Fair Values

Where Council is unable to derive Fair Valuations using quoted market prices of identical assets (ie. Level 1 inputs) Council instead utilises a spread of both observable inputs (Level 2 inputs) and unobservable inputs (Level 3 inputs).

The Fair Valuation techniques Council has employed while utilising Level 2 and Level 3 inputs are as follows:

Infrastructure, Property, Plant & Equipment

Plant & Equipment, Office Equipment and Furniture & Fittings

Plant & Equipment, Office Equipment and Furniture & Fittings are valued at cost but are disclosed at fair value in the notes. The carrying amount of these assets is assumed to approximate fair value due to the nature of the items.

Examples of assets within these classes are as follows:

- Plant & Equipment

Trucks, tractors, ride-on mowers, street sweepers, earthmoving equipment, buses and motor vehicles.

- Office Equipment

Photocopiers, flat-screen monitors and computer equipment.

- Furniture & Fittings

Chairs, desks and display systems.

Land - Operational

This asset class comprises all of Council's land classified as Operational Land under the NSW Local Government Act 1993. The key unobservable input to the valuation is the price per square metre. AlburyCity contracted AssetVal Pty Ltd, a registered land valuation company, to value all Council owned land, buildings and other structures for the 30 June 2010 Financial Reports. Since 2010 Council has been provided indexation reports by AssetVal and any new land parcels have been reviewed independently.

Generally, fair value is the most advantageous price reasonably obtainable by the seller and the most advantageous price reasonably obtained by the buyer. This is not necessarily the market selling price of the asset, rather, it is regarded as the maximum value that Council would rationally pay to acquire the asset if it did not hold it, taking into account quoted market price in an active and liquid market, the current market price of the same or similar asset, the cost of replacing the asset, if management intend to replace the asset, the remaining useful life and condition of the asset; and cash flows from the future use and disposal. There has been no change to the valuation process during the reporting period.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 27. Fair Value Measurement (continued)

\$ '000

Land - Community

Any land purchased or provided to Council for public recreation or drainage reserves must be classified as "community" under the NSW Local Government Act 1993. Land classified as "Community" cannot be sold or used for a purpose other than that described by the Plan of Land Management that it is held under. This restricted use and ownership means that the value of the land cannot be determined by market forces.

AlburyCity contracted AssetVal Pty Ltd, a registered land valuation company, to value all Council owned land, buildings and other structures for the 30 June 2010 Financial Reports. As Community Land has a restriction on use and sale which affects its market price, AssetVal has discounted the market value of these parcels in line with these restrictions. Since 2010 Council has been provided indexation reports by AssetVal and any new land parcels have been reviewed independently.

Land - Under Roads

Land Under Roads is similar to "Community Land" in that its use and sale is restricted and because of this should be at a discount to the market price.

The NSW Local Government Code of Accounting Practice provides the option of three valuation methods; AlburyCity has elected to use the "Englobo" method. This methodology uses an average site value on a \$ per square metre basis over the Council area, and a discount rate of 90% is applied to this value.

Council's calculated value is \$1.04 per square meter.

The increase in Council's area of land under roads is calculated annually through the use of a mapping design system.

The increase in area under roads is calculated by extracting data from this system for the current year and multiplying this by the current rate in the dollar.

Land Improvements - Non Depreciable

This asset class comprises land improvements such as bulk earthworks, which are often in parks forming natural amphitheatres and have an undeterminable life.

Land Improvements were valued using the cost approach. Inputs such as the useful life have been supplied by experienced in-house Council Engineers and Asset Management Staff.

Land Improvements - Depreciable

This asset class comprises land improvements such as landscaping, dams and other costs associated with land that will need to be removed or replaced in future periods.

Land Improvements were valued using the cost approach. Inputs such as the useful life have been supplied by experienced in-house Council Engineers and Asset Management Staff.

Buildings - Non Specialised

Buildings were valued at 30th June 2014 using a desktop Indexation Report supplied to Council by AssetVal Pty Ltd, a registered Valuer. Council's last full review of Buildings was completed in 2009, however any new buildings have been fully valued by AssetVal Pty Ltd, and all previously valued Buildings have been adjusted annually by indices provided by AssetVal, reflecting movements in the Albury market.

The 2013-14 building index provided by AssetVal Pty Ltd for Buildings & Other Structures was 1.95%.

Council's "Buildings" are valued at market price.

Other Structures

Items that fall into this category include Playground Equipment, Shade Structures and Bus Shelters. This asset class comprises all other structures not included in the category of Buildings that are controlled by the Council and constructed for a variety of purposes.

This class of assets was valued by external valuers; AssetVal Pty Ltd in 2009 and will be revalued fully in 2014/15.

Council's "Other Structures" are valued at market price.

Roads

This asset class comprises road asset components of pavement, seal, footpath and kerb and gutter.

Valuation unit rates of road asset components have been derived from historical actual costs and contract pricing. Unit prices were reviewed in 2014 with historic costs indexed to 2014 \$ value using Rawlinson's Building Price Index. Asset dimensions have been derived from Council's detailed asset management system (Conquest) populated from a complete road condition survey completed in 2013 by Moloney Asset Management Systems.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 27. Fair Value Measurement (continued)

\$ '000

Drainage Infrastructure

This asset class comprises structures, pipes, flood pumps, levees and open channels.

Valuation unit rates have been estimated utilising engineering expertise for various components of drainage infrastructure.

Unit prices were reviewed in 2014 with historic costs indexed to 2014 dollar value using Rawlinson's Building Price Index.

Asset dimensions have been derived from a combination of field survey and design plans.

Sewerage Infrastructure

This asset class comprises structures, pipes, pump stations and treatment works.

Valuation unit rates of Sewerage asset components have been derived from historical actual costs and contract pricing.

Values are indexed using Rawlinson's Building Price Index.

Asset dimensions have been derived from a combination of field survey and design plans.

Water Infrastructure

This asset class comprises meters, pipe network, supply reservoirs, pump stations and filtration plant.

Valuation unit rates of Sewerage asset components have been derived from historical actual costs and contract pricing.

Values are indexed using Rawlinson's Building Price Index.

Asset dimensions have been derived from a combination of field survey and design plans.

Landfill Remediation

The Albury Waste Management Centre (AWMC), valued at cost, is located off Centaur Road, Lavington. The AWMC encompasses a landfilling operation as well as a wide range of waste disposal services, resource recovery services, recycled and reclaimed products, and waste management educational activities. It has been recognised that there will be significant costs associated with the closure and post closure management of the landfill site.

Closure of the landfill will involve a wide range of activities including preparation of a Landfill Closure and Management Plan, final capping of the landfill waste and site re-vegetation, revision of the leachate management infrastructure to suit post-closure operation, decommissioning and removing infrastructure and equipment that will not be required post-closure, and fencing sensitive infrastructure.

An Evaluation of Costs for Landfill Closure and Post Closure Management was prepared by Nolan ITU Pty Ltd in 2002.

The key unobservable inputs are the discount rate, consumer price index, actual timing of costs and future environmental management requirements. There has been a change to the valuation process during the reporting period. This change has been to recognise the provision for active landfill cells only, rather than all cells.

Library Books

Library Books are valued at cost but are disclosed at fair value in the notes. The carrying amount of these assets is assumed to approximate fair value due to the nature of the items.

Council reviews the value of these assets against quoted prices for the gross current replacement cost of similar assets and by taking account of the pattern of consumption, estimated remaining useful life and the residual value.

There has been no change to the valuation process during the reporting period.

Other

Other assets include specialised sporting and leisure/cultural equipment and community initiatives. The carrying value of these assets is at cost and assumed the fair value of the asset.

Council reviews the value of these assets against quoted prices for the gross current replacement cost of similar assets and by taking account of the pattern of consumption, estimated remaining useful life and the residual value.

There has been no change to the valuation process during the reporting period.

Water Licence

Council owned two high security water licences which total 750ML they are valued with reference to an active water market for high security water sales for the NSW Murray Regulated River Region as referenced by "Waterfind Water Market Specialists".

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 27. Fair Value Measurement (continued)

\$ '000

(4). Fair value measurements using significant unobservable inputs (Level 3)

a. The following tables present the changes in Level 3 Fair Value Asset Classes.

	Land - Community	Land - Under Roads	Roads	Drainage	Total
Opening Balance - 1/7/13	30,744	147	306,581	89,480	426,952
Purchases (GBV)	-	-	8,492	2,015	10,507
Disposals (WDV)	-	-	(148)	(23)	(171)
Depreciation & Impairment	-	-	(7,873)	(1,208)	(9,081)
Revaluation	461	-	31,296	58,276	90,033
Recognition of Assets	-	-	-	-	-
Closing Balance - 30/6/14	31,205	147	338,348	148,540	518,240

	Water	Sewer	Landfill Remediation	Library Books	Total
Opening Balance - 1/7/13	200,384	156,753	786	1,295	359,218
Purchases (GBV)	2,431	3,392	-	167	5,990
Disposals (WDV)	(19)	(49)	-	-	(68)
Depreciation & Impairment	(5,530)	(3,583)	(25)	(168)	(9,306)
Revaluation	7,359	10,375	-	-	17,734
Recognition of Assets	-	-	(571)	-	(571)
Closing Balance - 30/6/14	204,625	166,888	190	1,294	372,997

	Other	Total
Opening Balance - 1/7/13	1,187	1,187
Purchases (GBV)	49	49
Disposals (WDV)	-	-
Depreciation & Impairment	(21)	(21)
Revaluation	-	-
Recognition of Assets	5,598	5,598
Closing Balance - 30/6/14	6,813	6,813

AlburyCity Council

Notes to the Financial Statements
for the financial year ended 30 June 2014

Note 27. Fair Value Measurement (continued)

\$ '000

(4). Fair value measurements using significant unobservable inputs (Level 3) (continued)

b. Information relating to the transfers into and out of the Level 3 Fair Valuation hierarchy (as disclosed in the Table above) includes:

Council had no movements in and out of Level 3

c. Significant unobservable valuation inputs used (for Level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various Level 3 Asset Class fair values.

Class	Fair Value (30/6/14) \$'000	Unobservable Inputs	Range of Inputs (incl. probable)	Relationship of unobservable inputs to Fair Value
I, PP&E				
Land - Community	31,205	- Unimproved Capital Value (Price per square metre)	- Comparable Sales - Changes in land use categorisation	Changes to any of these unobservable inputs could significantly impact upon fair value.
Land - Under Roads	147	- Unimproved Capital Value (Price per square metre)	- \$1.04 per square metre	Changes to any of these unobservable inputs could significantly impact upon fair value.
Roads	338,348	- Replacement Cost - Asset Condition - Remaining Useful Life - Residual Value	- Varies significantly from asset to asset - Very Good to Very Poor - 5-100 Years - 1%-20%	Changes to any of these unobservable inputs could significantly impact upon fair value.
Drainage	148,540	- Replacement Cost - Asset Condition - Remaining Useful Life	- Varies significantly from asset to asset - Very Good to Very Poor - 100-120 Years	Changes to any of these unobservable inputs could significantly impact upon fair value.
Water	204,625	- Replacement Cost - Asset Condition - Remaining Useful Life	- Varies significantly from asset to asset - Very Good to Very Poor - 0-100 Years	Changes to any of these unobservable inputs could significantly impact upon fair value.
Sewer	166,888	- Replacement Cost - Asset Condition - Remaining Useful Life	- Varies significantly from asset to asset - Very Good to Very Poor - 20-100 Years	Changes to any of these unobservable inputs could significantly impact upon fair value.
Landfill Remediation	190	- Discount Rate - Remaining Useful Life	- 4.1% - 15 Years - 3.0%	Changes to any of these unobservable inputs could significantly impact upon fair value.
Library Books	1,294	- Replacement Cost - Asset Condition - Remaining Useful Life - Residual Value	- Varies significantly from asset to asset - Very Good to Very Poor - 10 Years - 10%	Changes to any of these unobservable inputs could significantly impact upon fair value.
Other	6,813	- Replacement Cost - Asset Condition - Remaining Useful Life - Residual Value	- Varies significantly from asset to asset - Very Good to Very Poor - 5-20 Years - 5%-15%	Changes to any of these unobservable inputs could significantly impact upon fair value.

(5). Highest and best use

All of Council's non financial assets are considered as being utilised for their highest and best use.

AlburyCity Council

Notes to the Financial Statements for the financial year ended 30 June 2014

Note 28. Council Information & Contact Details

Principal Place of Business:

553 Kiewa Street
ALBURY NSW 2640

Contact Details
Mailing Address:

PO Box 323
ALBURY NSW 2640

Opening Hours:

Mon - Fri 8.30am to 5.00pm

Telephone: 1800 133 391

Facsimile: 02 6023 8111

Internet: www.alburycity.nsw.gov.au

Email: info@alburycity.nsw.gov.au

Officers
GENERAL MANAGER

Frank Zaknich

RESPONSIBLE ACCOUNTING OFFICER

Justin Finlayson

PUBLIC OFFICER

Murray Watson

AUDITORS

Crowe Horwath Albury
491 Smollet St, ALBURY NSW 2640

Elected Members
MAYOR

Kevin Mack

COUNCILLORS

Kevin Mack
Daryl Betteridge
Darren Cameron
Graham Docksey
Alice Glachan
Patricia Gould
Ross Jackson
David Thurley
Henk van de Ven

Other Information

ABN: 92 965 474 349

INDEPENDENT AUDIT REPORT TO ALBURY CITY COUNCIL (SECTION 417(2) – REPORT ON THE GENERAL PURPOSE FINANCIAL STATEMENTS)

SCOPE

We have audited the accompanying financial statements of Albury City Council ('the Council'), which comprises the statement of financial position as at 30 June 2014 and the income statement, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year ended on that date, a summary of significant accounting policies and other explanatory notes 1 to 28 and the Statement by Councillors and Management of the Council. The financial statements and Council's statement are in the approved form as required by Section 413(2) (a) and (c) of the Local Government Act, 1993.

COUNCIL'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The Councillors and management of the Council are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards, Local Government Act 1993 (as amended) and the Regulations made there under and the Local Government Code of Accounting Practice and Financial Reporting. This responsibility includes establishing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the financial statements based on our audit. We conducted our audit in accordance with Australian Auditing Standards. These Auditing Standards require that we comply with relevant ethical requirements relating to audit engagements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Council, as well as evaluating the overall presentation of the financial statements.

We performed the procedures to assess whether in all material respects the financial statements presents fairly, in accordance with the Local Government Act 1993 (as amended) and the Regulations made there under and the Local Government Code of Accounting Practice and Financial Reporting and Australian Accounting Standards, a view which is consistent with our understanding of the Council's financial position and of its performance.

Our audit responsibilities do not extend to the Original Budget figures disclosed in the income statement, statement of cash flows, Notes 2(a) and 16 to the financial statements nor the attached Special Schedules. Our audit opinion does not extend to cover the projections data in Note 17 and accordingly, we express no opinion on them.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

The audit opinion expressed in this report has been formed on the above basis.

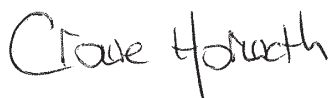
INDEPENDENCE

In conducting our audit, we have complied with the independence requirements of the Accounting Professional and Ethical Standards Board.

AUDITOR'S OPINION

In our opinion:

- a) the Council's accounting records have been kept in accordance with the requirements of the Local Government Act 1993 Chapter 13, Part 3, Division 2;
- b) the Council's financial statements:
 - have been properly prepared in accordance with the requirements of this Division;
 - are consistent with the Council's accounting records;
 - present fairly the Council's financial position and result of its operations; and
 - are in accordance with applicable Accounting Standards.
- c) all information relevant to the conduct of the audit has been obtained; and
- d) there are no material deficiencies in the accounting records or financial statements that have come to light during the course of the audit.



CROWE HORWATH ALBURY



BRADLEY D BOHUN

Partner

Dated at Albury this 27th day of October 2014.

Report on the Conduct of the Audit

AlburyCity Council

Year Ended 30 June 2014

Contents

1	Report on the Conduct of Audit	3
2	Operating Result	4
3	Financial Position	5
4	Performance Indicators	6
5	Specific Balance Sheet Items.....	8
6	Other Matters	11

1 Report on the Conduct of Audit

We have completed our audit of the financial statements for AlburyCity Council (Council) for the year ended 30 June 2014, in accordance with Section 415 of the Local Government Act, 1993. Our audit opinion under Section 417(2) has been issued to Council.

The Council is responsible for the preparation and presentation of the financial statements and the information they contain. The financial statements consist of the general purpose financial statements and Council's statement in the approved form required by Section 413 (2) and (c) respectively of the Local Government Act 1993.

Our audit has been conducted in accordance with Australian Auditing Standards to provide reasonable assurance as to whether the financial statements are free of material misstatement. Our procedures included examination, on a test basis, of evidence supporting the amounts and other disclosure in the financial statements, and the evaluation of accounting policies and significant accounting estimates. These procedures have been undertaken to form an opinion as to whether in all material respects, the financial statements are presented fairly in accordance with Australian Accounting Standards and statutory requirements so as to present a view which is consistent with our understanding of the Council's financial position, the results of its operations and its cash flows.

Following from our audit there are a number of comments we wish to raise concerning Council's financial statements. These comments are set out in this report below.

2 Operating Result

AlburyCity Council (the 'Council' or 'AlburyCity') is a regional city council in Southern New South Wales, whose affairs are governed by:

- Local Government Act 1993;
- Local Government Regulations;
- Local Government Code of Accounting Practice and Financial Reporting; and
- Local Government Asset Accounting Manual Regulations.

The Council is responsible for the administration and implementation of the strategic policies voted on in Council.

As disclosed in the Income Statement, the Council achieved a surplus in net operating result from continuing operations (including capital contributions) of \$20,490k (2013: \$9,380k surplus) for the year ended 30 June 2014.

Significant income and expense items in the current year were:

	2014	2013	2012
	\$'000	\$'000	\$'000
Rates and annual charges	53,508	48,963	45,098
User charges and fees	37,188	36,388	30,276
Grants and contributions - operating	6,115	9,207	12,360
Grants and contributions - capital	19,248	9,850	4,556
Employee costs	(33,231)	(32,173)	(32,587)
Materials and contracts	(22,846)	(22,664)	(23,270)
Depreciation and amortisation	(25,354)	(25,615)	(25,759)

The above income and expense items all have the potential to have a significant impact on Council's operating result. Rates and annual charges increased by \$4,545k from \$48,963k in 2013 as a result of the Special variation in place of 4.77%. Grants and contributions received by Council also continues to have a major influence on the reported result. The decrease in operating grants is a result of the Financial Assistance Grant no longer being paid in advance by up to 50% as had occurred over the past few years. This effectively represents a timing difference. Capital grants increased by \$9,398k, \$5,598k of this relates to the first time recognition of Council art work and \$3,714k increase relates to developer contributions.

The above significant items are based on the operational results from Council as disclosed in the income statement and accompanying notes.

3 Financial Position

A measure of the Council's financial position is its unrestricted working capital. The following table sets out the unrestricted working capital position of Council as at the end of the financial year

	2014 \$'000	2013 \$'000	2012 \$'000
Cash and Liquid Investments	56,343	40,151	28,829
External Restrictions - included in liabilities	-	-	-
- not included in liabilities	(25,677)*	(12,488)	(4,273)
Internal Restrictions - included in liabilities	(10,978)	(8,150)	(5,385)
- not included in liabilities**	(849)	(603)	(952)
Unrestricted Cash and Investments	18,839	18,910	18,219
Other Net Current Assets / (Liabilities) excluding anticipated LSL Provision & restrictions included in liabilities	(1,955)	5,285	5,224
Unrestricted Working Capital	16,884	24,195	23,443

*\$10,483k of the increase to 2013 relates to Water Supplies and Sewerage Services restrictions.

**Council has used internal restrictions extensively and these are a discretionary item specific to each individual Council. It should be noted that the level of internal restrictions can be adjusted via Council vote and for AlburyCity several future development projects have already been costed via the use of internal restrictions.

The above represents the amount of available working capital Council has at its disposal to meet its future spending requirements after making allowance for any restrictions in place over the use of such working capital.

The calculation of unrestricted working capital shows an decrease which is consistent with the trend of the unrestricted current ratio disclosed in Note 13 to the financial statements of 2.56:1 (2013: 3.18:1).

We note that Council continues to carry a sizable balance of internal restrictions as at year end.

We recommend that Council continue to monitor its unrestricted working capital position and unrestricted current ratio when reviewing its financial position.

4 Performance Indicators

Refer to Note 13 of the financial statements.

4.1 Operating Performance Revenue

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Council's Operating Performance Ratio increased to 2.46% (2013: -0.94%) due to Council's operating revenue increasing at a greater rate than Council's operating expenditure.

4.2 Own Source Operating Revenue Ratio

This ratio measures fiscal flexibility and shows the degree of reliance on external funding sources such as operating grants and contributions.

With a ratio of 79.00% (2013: 82.37%), Council's ability to generate its own sources of funding from rates and user fees is in excess of NSW Treasury Corporations benchmark of 60%.

4.3 Liquidity (Unrestricted Current) Ratio

The liquidity ratio is used to assess the adequacy of working capital and Council's ability to satisfy its obligations in the short term.

The liquidity ratio at Note 13 shows Council's liquidity position well exceeds the generally accepted minimum benchmark. The ratio indicates that Council has the capacity to pay its debts as and when they fall due.

4.4 Debt Service Cover Ratio

This ratio demonstrates the percentage of Council revenue required to service the debts carried by Council.

This ratio indicates 4.9% (2013: 4.05%) of Council's revenue is consumed servicing debt confirming that Council continues to maintain a small level of borrowings relative to its overall size.

4.5 Rates, Annual Charges, Interest & Extra Charges Outstanding Percentage

The rates, annual charges, interest and extra charges outstanding percentage is used to assess the impact of uncollected rates and annual charges on liquidity and the adequacy of recovery efforts.

The percentage of rates and annual charges outstanding at year end is 1.91% (2013: 2.36%). In comparison to other NSW Local Governments this is a commendable result.

4.6 Cash Expense Cover Ratio

This liquidity ratio indicates the number of months Council can continue paying its immediate expenses without additional cash inflow.

As indicated with the ratio of 8.51 months (2013: 6.10 months), Council's ability to continue paying for its immediate expenses without additional cash inflow is sufficient and exceeds the NSW Treasury Corporations benchmark of 3.00.

5 Specific Balance Sheet Items

5.1 Receivables

Total current receivables at 30 June 2014, net of allowance for impairment were \$16,033k (2013: \$21,170k).

This balance primarily consists of rates and annual charges of \$1,051k (2013: \$1,189k), user charges and fees of \$12,851k (2013: \$12,801k), government grants & subsidies of \$559k (2013: \$561k), accrued revenues of \$1,204k (2013: \$1,186k) and other debtors of \$669k (2013: \$5,545k).

The percentage of rates and annual charges outstanding is referred to at Section 4.4 of this report.

Total non-current receivables at 30 June 2014 were \$5,220k (2013: \$426k) net of impairment allowance. This is represented by the Multi Deck Carpark receivable.

The allowance for impairment at 30 June 2014 was \$301k (2013: \$258k). The allowance is specifically matched against individual user charges and fees outstanding. An assessment of the collectability of the receivables balance indicated that the allowance for impairment was deemed sufficient.

5.3 Accounting for Carbon Emissions Trading Scheme

AlburyCity became a 'liable entity' under the *Carbon Pricing Mechanism* ('CPM') effective 1 July 2012 under legislation enacted by federal parliament in the *Clean Energy Act 2011*, related Acts and subordinate legislation and Regulations. The Council issued a Carbon Liability Financial Management Policy in May 2012.

We note that during the 2012-13 financial year the Council increased its fees and charges at the Albury Waste Management Centre to effectively collect revenue on landfill deposit that will give rise to a carbon emission in the future. This fee is predicated on a user-pays principle, and is based on knowledge of the carbon emission profile of waste, and utilises the Commonwealth Department of Treasury forecast of the carbon price. The carbon fee was calculated based on the initial Net Present Value ("NPV") modeling of the cost that the Council would incur to discharge its liability in the future.

The Council has recognised a provision of \$5,124k (2013: \$2,152k) in Note 10 (a) of the financial statements for the estimated future liability to discharge its carbon tax obligation.

The Council has recognised an internal restriction of \$4,795k (2013: \$2,375k) in Note 6 (c) of the financial statements relating to funds required to discharge its future carbon liability calculated at 30 June 2014. The calculation of the estimated future liability to discharge its carbon liability was based on a time series analysis model to estimate the NPV of future liabilities associated with the Council's carbon emissions.

We note that Council has an excess of \$329k (2013: shortfall \$223k) between the estimated liability recognised as a restriction in Note 6 (c) and the actual provision recognised in Note 10 (a). This difference relates to a movement of the estimated NPV of the carbon fee and the calculation of the NPV of the provision at 30 June 2014.

The Clean Energy Act 2011 was repealed by the Commonwealth on 17 July 2014. Council will not be subject to a carbon tax liability post 1 July 2014, however is still required to pay \$441k relating to 2014 based emission which is included within payables. Note 23 to the financial statements outlines the impact of the repeal of the Clean Energy Act 2011.

5.4 Capital Expenditure

During the reporting period Council spent \$27,503k (2013: \$27,859k) on items of an infrastructure, property, plant or equipment nature. The primary areas of capital expenditure were as follows:

	2014	2013	2012
	\$'000	\$'000	\$'000
Plant and equipment	1,480	2,873	1,696
Land and improvements	3,829	617	2,403
Buildings	793	1,002	1,166
Roads, bridges and footpaths	8,037	11,349	17,807
Stormwater drainage	1,971	2,026	659
Water supply network	2,367	2,669	2,988
Sewerage network	3,018	1,950	2,444
Capital works in progress	5,793	5,236	5,060
Other	215	137	1,530
	27,503	27,859	35,753

5.5 Borrowings

Borrowings have decreased by \$2,875k from the prior year's balance of \$51,852k due to discharging existing loan obligations. These loans are secured over the general income of Council.

5.6 Fair Value of Infrastructure Assets

In 2011 the Council should have completed the progressive revaluation of all property, plant and equipment to fair value where all assets are revalued on a 5 year cycle. The Office of Local Government minimum requirements timetable is as follows:

- 2010: Roads, bridges, footpaths, drainage and bulk earthworks;
- 2011: Community land, land improvements, other structures and other assets;
- 2012: Water and sewer networks;
- 2013: Operational land and buildings; and
- 2014: Land under roads (if applicable).

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 116 *Property, Plant & Equipment*. Land under roads acquired post 1 July 2008 consists of a number of sub divisions as a result of developer contributions.

As at June 2014 all Council's infrastructure, property, plant and equipment is held at fair value with the exception of capital WIP which is held at cost.

5.7 New Standards and Interpretations Not Yet Adopted

Certain new accounting standards have been published that are not mandatory for the 30 June 2014 reporting period as follows:

- AASB 9 *Financial Instruments*, AASB 2009 11 Amendments to Australian Accounting Standards arising from AASB 9, AASB 2010-7 Amendments to Australian Accounting Standards arising from AASB 9 and AASB 2012-6 Amendments to Australian Accounting Standards – Mandatory Effective Date of AASB 9 and transitional disclosures and AASB 2013-9 Amendments to Australian Accounting Standards – Conceptual Framework, Materiality and Financial Instruments (effective from 1 January 2017).
- AASB 10 *Consolidated Financial Statements*, AASB 11 *Joint Arrangements*, AASB 12 *Disclosure of Interests in Other Entities*, revised AASB 127 *Separate Financial Statements* and AASB 128 *Investments in Associates and Joint Ventures* and AASB 2011-7 *Amendments to Australian Accounting Standards arising from the Consolidation and Joint Arrangements Standards* (effective 1 January 2014).
- AASB 2013-3 Amendments to AASB 136 *Recoverable Amount Disclosures for Non-Financial Assets* (effective for Council's 30 June 2015 financial statements).

Council is of the view that AASB 9 and AASB 10 will not significantly affect any of the amounts recognised in the financial statements, however they may impact certain information otherwise disclosed, or the format in which information is disclosed.

6 Other Matters

6.1 Management Letter

A separate report is issued to Council's management which covers in further detail the audit and accounting issues identified during our audit process.

6.2 Independence

In conducting our audit, we followed applicable independence requirements of Australian professional ethical pronouncements.

6.3 Reliance on the Report

The report on the conduct of the audit has been prepared for distribution to Council. We disclaim any assumption of responsibility for any reliance on this report to any person other than Council or for any purpose other than that for which it was prepared.

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